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WS Global CIO Office
23 October 2026

Weekly Market View

Policy, politics and earnings

➔ We retain our defensive and diversified stance across assets, sectors and regions amid near-term uncertainty around monetary policy, politics and earnings.

➔ The next two weeks will be busy for major central banks, US political watchers and technology leaders powering the AI supercycle. We expect the Fed, ECB and BoJ to hold rates next week, but markets will focus on whether central banks are turning more hawkish due to the latest surge in fuel prices.

➔ The US mid-term elections are expected to give Democrats control of the House and Senate, with implications for taxes and the AI-led investment boom. Meanwhile, the consensus is expecting the US tech sector to report over 60% y/y earnings growth for Q3.

➔ Each of these three drivers has the potential to surprise markets. We close and lock in gains on our European CoCo[1] bond and US 10-year government bond opportunistic ideas amid French and US political risks.

What are the takeaways from US tech sector earnings reported so far?

Are you still bullish on US 10-year government bonds?

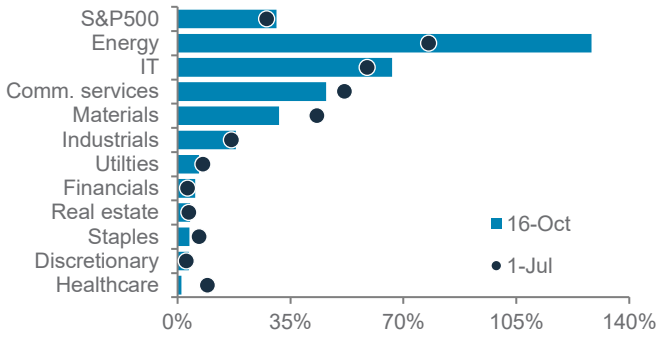
Does Euro area fiscal and political uncertainty affect your EUR/USD view?

[1]Important disclosures can be found in the Disclosures Appendix.

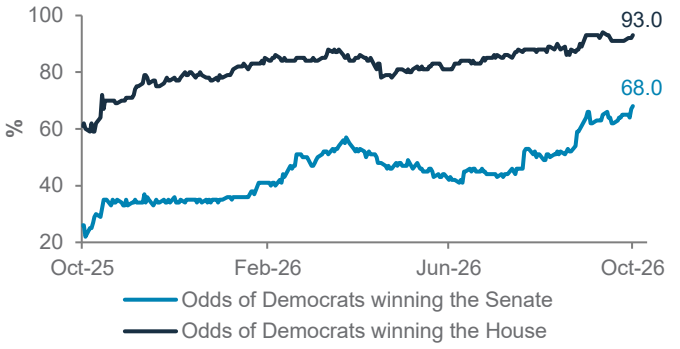
Charts of the week: Watching earnings and a potential 'Blue wave'

US Big Tech earnings, mid-term elections and major central bank policy meetings are the near-term market drivers

Consensus S&P500 index Q3 earnings estimates by sector



Chance of Democrats winning control of US House and Senate*



Source: Bloomberg, Standard Chartered; *Polymarket probability

Editorial

Policy, politics and earnings

Strategy summary: We retain our near-term defensive and diversified stance across assets, sectors and regions amid near-term uncertainty around monetary policy, politics and earnings. The next two weeks will be busy for major central banks, US political watchers and technology leaders powering the AI supercycle. We expect the Fed, ECB and BoJ to hold rates next week, but markets will focus on whether central banks are turning more hawkish due to the latest surge in fuel prices. The US mid-term elections are expected to give Democrats control of the House and Senate, with implications for taxes and the AI-led investment boom.

Meanwhile, the consensus is expecting the US tech sector to report over 60% y/y earnings growth for Q3, the biggest jump in over two decades outside the post-COVID rebound. Each of these three drivers have the potential to surprise markets.

Big Three to hold monetary policy: We expect the Fed, ECB and BoJ to hold policy rates next week, after September's hikes, as they assess whether higher bond yields have tightened financial conditions enough to offset fuel-price-driven inflation. We expect the Big Three to hike next in December as fuel prices are likely to stay elevated into early next year due to refining capacity constraints. Nevertheless, the Fed and ECB are likely to deliver less than around 60bps of rate hikes priced in by money markets over the next 12 months on the back of an eventual easing of oil and fuel prices leading to disinflation by H2 2027. This outlook means 3-7-year Developed Market investment grade bonds currently offer attractive risk-reward.

Opportunity in Australian bonds. Other major central banks, such as the Bank of England, Bank of Canada and Reserve Bank of New Zealand are likely to hike rates by 25bps in the next two weeks given their focus on taming near-term inflation. However, we believe the Reserve Bank of Australia (RBA) is close to the end of its hiking cycle, even if it hikes one last time in the coming months (money markets give a 60% chance of a hike on 3 November). Australia's domestic labour and housing markets and business confidence are softening after the RBA hiked its policy rate four times this year to a 15-year high. Meanwhile, Australia's cash rate is 60bps higher than the US policy rate, supporting the AUD. We continue to see attractive income and FX gain opportunities from AUD corporate bonds.

A 'Blue Wave' in the US? Prediction markets strongly favour Democrats taking the House of Representatives and possibly the Senate in the 3 November US mid-term elections. While an opposition sweep in the mid-terms has historically delivered the best 12-month returns for equities among all scenarios, partly due to the resulting policy gridlock, a decisive Democratic "blue wave" could increase longer-term risks of higher taxes and uncertainty over policy towards AI investment and data centres. With the Senate race still close and prediction markets fallible, we remain cautious on risk assets in the near term.

Closing EU bank contingent convertible bonds (CoCos[1]) and US 10-year government bond ideas: We lock in 2% gains in EU CoCos and 1.7% gain in US 10-year government bond ideas amid French and US political risks (page 5-6). We continue to hedge any inflation risks through inflation-protected bonds and geopolitical risk through an Overweight in gold.

Watching Big Tech earnings: Upcoming Big Tech earnings raises uncertainty as market leadership remains concentrated and share-price reactions more mixed. With valuations less likely to drive returns, earnings delivery and sustainability of AI investment, funding and monetisation and broadening out of earnings beyond tech will be critical, raising the risk of volatility and sector divergence. We remain invested but defensively positioned, favouring diversification across sectors and regions.

Staying defensive and diversified. We recently upgraded the defensive US Healthcare sector to Overweight, while retaining our Overweights to US tech and materials as well as financials in the US, Euro area and Japan. We also downgraded the more volatile Communications Services sector to Neutral and took profits on the semiconductor segment earlier this month before the latest correction. Our defensive and diversified stance should preserve participation in further equity upside, while reducing exposure to earnings disappointments and supporting resilience through the reporting season.

— ***Rajat Bhattacharya***

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The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

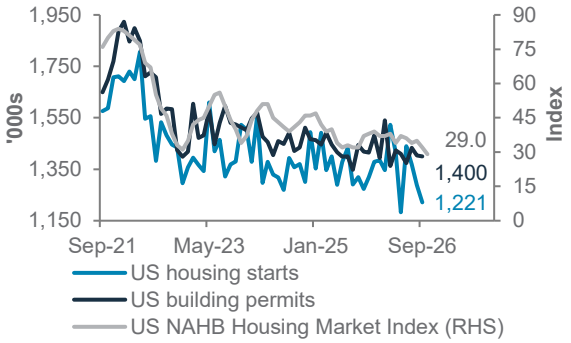
(+) factors: Resilient China growth; potential China fiscal policies

(-) factors: Softer Euro area sentiment; geopolitical and trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US leading index held steady at 0% in September • US building permits came in slightly above estimates at 1.40mn in September • China Q3 GDP grew 4.5% y/y, beating estimates • China retail sales grew 1.1% y/y in September, beating expectations;	• US housing starts fell more than expected to 1.22mn in September • Euro area and Germany ZEW sentiment expectations fell more than expected in October
	Our assessment: Neutral – Stronger-than-expected China growth vs. softer Euro area sentiment	
Policy developments	• China's statistics bureau pledged to step up efforts to boost domestic demand and make macro policies more effective	• BoE's Greene said inflation risks were higher than expected and reiterated case for a rate rise • ECB's Kazaks said further rate hikes may be needed if inflation stays elevated • The Reserve Bank of India minutes showed policymakers favour further tightening to tame inflation
	Our assessment: Negative – Additional policy tightening in Euro area, UK, India due to upside inflation risk	
Other developments		• President Trump hinted at restarting Iran strikes after the mid-term election • US sanctions five Chinese firms over alleged AI trade-secret theft • Houthis carried out fresh attacks on Saudi energy, airport, and military targets • China has threatened retaliation if UK raises tariffs on Chinese EVs; has imposed export curbs on drones and machinery
	Our assessment: Negative – Geopolitical and trade tensions	

US housing starts slumped in September as high mortgage rates hurt, while housing permits offered limited support to future construction

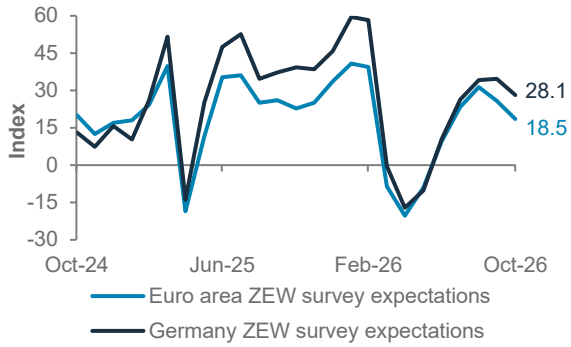
US housing starts, building permits and the NAHB Housing Market Index



Source: Bloomberg, Standard Chartered

Euro area ZEW expectations fell to a four-month low in October, with Germany's expectations missing estimates

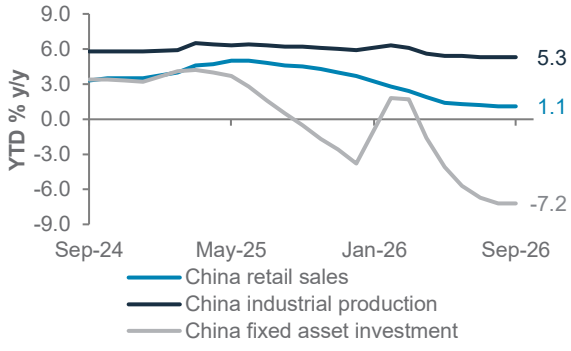
Euro area and Germany ZEW survey expectations



Source: Bloomberg, Standard Chartered

China's recovery remains uneven, with resilient industrial production contrasting with subdued retail sales and contracting fixed asset investment

China retail sales, industrial production and fixed asset investment growth



Source: Bloomberg, Standard Chartered

Top client questions

What are the key takeaways from the technology sector earnings reported so far this week?

Our view: Recent technology sector earnings results point to strong compute demand and continued capex expansion, supporting our positive long-term view on the AI investment theme. However, rising funding and execution risks warrant near-term caution. We prefer to avoid increasing exposure to higher-risk areas within the technology sector for now.

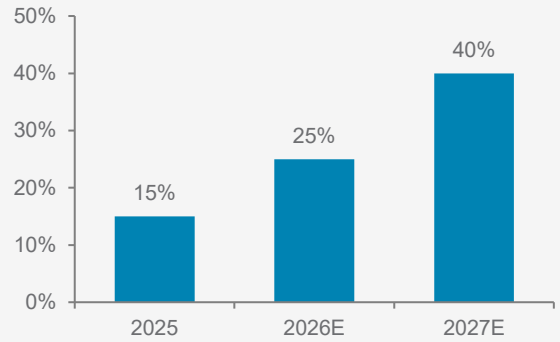
Rationale: Earnings results reported this week suggest major tech companies remain committed to expanding their AI infrastructure. While this bodes well for AI infrastructure providers, ambitious expansion plans imply that an increasing share of AI capex is likely to depend on debt financing. **We expect debt-financed AI capex to rise from c.25% of AI capex in 2026 to c.40% in 2027**.

Greater reliance on borrowing increases sensitivity to interest rates, while deployment delays could postpone revenue recognition amid ongoing financing costs. However, **evidence of improving AI monetisation and adoption should strengthen operating cash flows and support internal capex funding**. Against this backdrop, we will assess Big Tech earnings next week for greater clarity on capex guidance and funding and AI monetisation trends.

— **Ryan Goh,** *Investment Strategist*

AI capital expenditure (capex) is expected to become more reliant on debt financing

Estimated share of AI capex financed through debt



Source: Company reports, Standard Chartered

Are you still positive on Euro area bank equities amid heightened political and fiscal uncertainty in the region?

Our view: We remain positive on Euro area bank equities, supported by resilient earnings and shareholder-friendly capital return policies. While France's fiscal uncertainty and a softer growth outlook warrant caution, the recent pullback in Euro area bank equities offers selective opportunities. We favour well-capitalised banks with strong deposit franchises and diversified earnings.

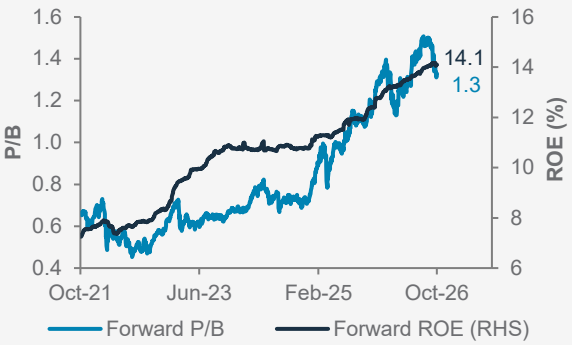
Rationale: We expect Euro area banks' **Q3 2026 net interest income to grow 1.5-3.0% q/q**, led by Spanish banks, driven by higher rates and continued asset repricing. Resilient fee income from wealth management and investment banking activity, as well as dividends and buybacks, should provide further support. **Price-to-book (P/B) valuations have eased,** despite expectations for healthy return on equity (ROE), thus improving risk-reward.

Fiscal uncertainty in France has widened sovereign spreads, **pressuring banks' bond holdings and funding costs**. Although French banks represent 13% of the Euro area Bank Index, volatility could spread to regional financial markets. However, **stress in the broader banking system appears limited**, supported by strong capital buffers and ECB tools to contain disorderly market moves and sovereign market contagion. We will continue to monitor credit trends, sovereign spreads and banks' 2027 earnings guidance.

— **Robin Xie,** *Senior Investment Strategist*

Euro area banks' valuations have eased despite resilient profitability expectations

Forward P/B ratio vs. expected ROE



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What has driven the recent weakness in China equities, and what is your outlook from here?

Our view: We maintain China equities as a Core holding, as valuations remain inexpensive. Rapid technological innovation and investment in AI localisation provide tailwinds, but the potential for a re-rating appears delayed. Investors should seek to diversify their portfolios and reduce concentration risk.

Rationale: China equities have weakened, driven by **mounting scepticism over AI capex returns, structural margin compression and concerns about the country's significant financing requirements**. Another notable feature in China has been significant share issuance, which has diluted earnings per share and weighed on the MSCI China Index's performance. These pressures have been compounded by geopolitical headwinds, restrictions on advanced chips, an enduring property sector contraction and weak domestic demand. September's stimulus measures also disappointed markets in terms of their scale and pace of delivery.

Notwithstanding these headwinds, valuations remain inexpensive, supported by **rapid domestic innovation** and **structural tailwinds in AI localisation**, leading us to retain China equities as a Core holding. Elevated volatility reinforces the need to be defensively positioned, favouring diversification rather than relying on technology sector concentration. We also remain **Overweight China's healthcare, financial and materials sectors**.

— **Cindy Lam, CFA,** *Senior Investment Strategist*

Significant share issuance has kept the market capitalisation fairly stable, while the MSCI China Index has declined c.20% over the past one year

MSCI China Index price and market capitalisation



Source: FactSet, Bloomberg, Standard Chartered

Are you still bullish on US 10-year government bonds?

Our view: We are closing our opportunistic bullish idea on US 10-year government bonds at a gain of 1.7%. The risk-reward has become less compelling after the yield broke below 5%, the lower bound of our three-month forecast range of 5.00-5.25%.

Rationale: The US 10-year yield fell over 17bps to **4.97%** on 22 October – its first move below 5% since 23 September and **biggest one-day drop** since March 2023. A sell-off in AI-related equities and renewed Middle East tensions drove investors towards safe havens. Earlier this month, the yield hit its highest level in over two decades. The forces behind the rally are fragile, though. Oil prices remain elevated amid escalating Middle East tensions, and September US consumer inflation rose to 3.7% y/y. Fed officials have signalled there is **no urgency to raise rates at the 27-28 October meeting**, but persistent price pressures keep further tightening on the table. We prefer to lock in gains and close our opportunistic bullish idea on 10-year government bonds at a gain of 1.7%.

— **Jonathan Liang, CFA**, *CIO, Fixed Income & FX*

Risk-reward of US 10-year government bond yields is less compelling after the yield broke below 5%

US 10-year government bond yields



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is your outlook for French bank bonds, especially ahead of France's upcoming sovereign credit rating reviews?

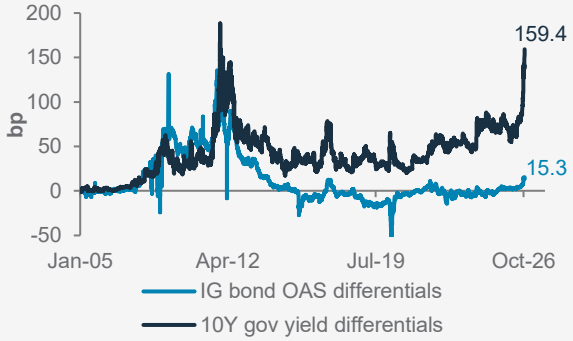
Our view: The recent sell-off in French bank bonds is a repricing of tail risks, not a credit story. We expect further price volatility until the April 2027 French presidential election, particularly at the junior end of the capital structure, so we are closing our opportunistic EU bank contingent convertibles (CoCos[1]) idea at a gain of 2.0%.

Rationale: We believe the recent sell-off in French bank bonds reflects **domestic political and fiscal risks rather than weaker credit fundamentals**. The sustained widening of the OAT-Bund spread has raised concerns about the **profit and loss (P&L) impact on banks' sovereign debt holdings**. Banks provide limited disclosure on these exposures. However, banks' investment portfolios are generally diversified, and holdings booked at amortised cost should soften the P&L impact. Near-term catalysts include the upcoming sovereign credit rating reviews. A sovereign downgrade could trigger bank **rating downgrades**, with domestically focused lenders potentially more exposed than regionally diversified peers. A sovereign credit event is not our base case**,** but we expect headline risks to persist until the French presidential election. Against this backdrop, we are closing our opportunistic EU bank CoCos idea.

— **Cedric Lam**, *Senior Investment Strategist*

A widening France-Germany 10-year government bond yield spread and a stable investment-grade (IG) bond option-adjusted spread (OAS) suggest a repricing of political and fiscal risk rather than credit risk

France-Germany IG bond OAS and 10-year government bond yield differentials



Source: Bloomberg, Standard Chartered

Will the November US mid-term elections and European bond volatility support a sustained Swiss franc (CHF) rebound?

Our view: We expect a near-term CHF rebound, supported mainly by safe-haven demand amid European bond volatility. We believe the US mid-term elections will be a secondary driver.

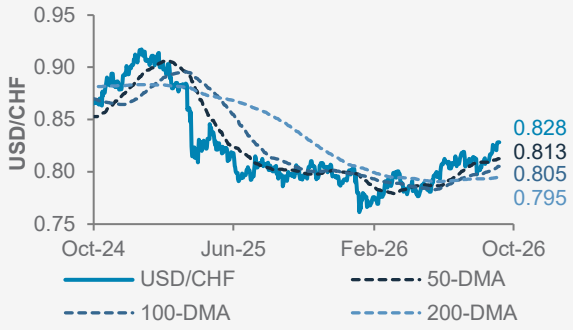
Rationale: European sovereign bond volatility provides the stronger catalyst for CHF strength. The France-Germany government bond yield spread remains elevated near **160bps**, reflecting heightened French fiscal concerns and reinforcing the CHF's safe-haven appeal. **The US mid-terms could provide additional support for the CHF**. A Democratic victory in either chamber is expected to constrain further fiscal expansion, potentially weighing on the USD. However, this would not necessarily lead to faster fiscal consolidation.

The SNB's 0% policy rate leaves **the CHF at a sizeable interest-rate disadvantage vs. the USD**, constraining sustained CHF gains. With **EUR/CHF** below 0.90, excessive CHF strength could also increase the risk of SNB intervention. A decisive USD/CHF break below 0.8130 would strengthen the technical case for a more sustained CHF rebound.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

USD/CHF failed to break above 0.8400 and is likely to test support at 0.8130

USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Would worsening budget deficits and political uncertainty across parts of Europe affect your view on EUR/USD and Euro area government bond yields?

Our view: Fiscal and political concerns constrain near-term EUR/USD gains, with France being the primary vulnerability. We expect EUR/USD to recover towards the 1.17-1.18 range over the next 12 months, supported by continued Euro area economic growth and an expected fading of USD support. We expect wider differentials in Euro area government bond yields, with political risk premium elevated in French government bonds (OATs) and German government bonds (Bunds) supported by safe-haven demand.

Rationale: France's high public debt, large budget deficit and political obstacles to fiscal adjustments are weighing on market confidence, with the country's **10-year government bond yield rising above 5%**. The risk of stress spreading to Italy and Spain adds to regional concerns, although current evidence does not establish a broad European fiscal crisis. German government bonds should benefit from **safe-haven demand**, while fiscal concerns keep risk premia on vulnerable countries' bonds elevated. EUR/USD remains more sensitive to **US-Germany interest-rate differentials** and broader market confidence than to French bond yields alone.

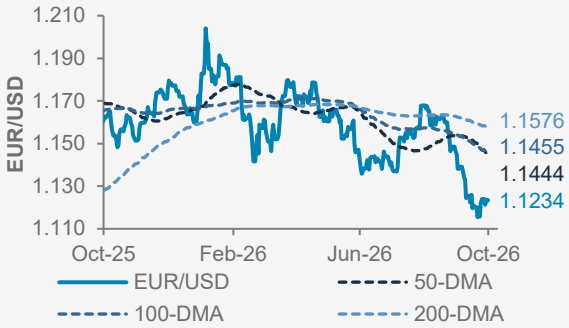
France's fiscal risks, elevated energy costs and high US interest rates weigh on the EUR in the near term. Over the next 12 months, **Germany's multi-year public investment programme, resilient exports and sound banking-sector fundamentals** are expected to support Euro area growth. We expect the Fed's rate-hiking cycle to peak by mid-2027, reducing USD support and driving the EUR towards **1.17-1.18** .

The **principal tail risk** is fiscal stress widening government bond yield spreads and spilling over into bank funding conditions and lending activity, weakening growth and delaying the EUR's recovery.

— **Vincent Tan,** *Senior Investment Strategist*
— **Cedric Lam**, *Senior Investment Strategist*

France's fiscal risks constrain near-term EUR/USD gains, but a modest recovery remains likely

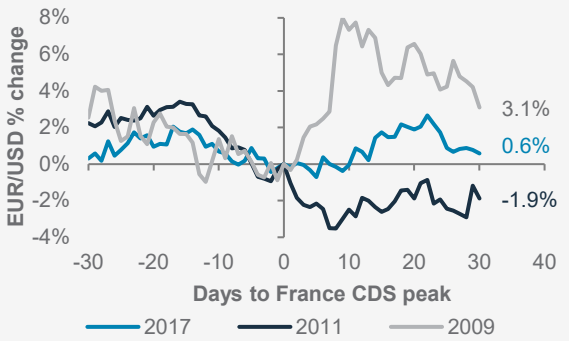
EUR/USD and technical indicators



Source: Bloomberg, Standard Chartered

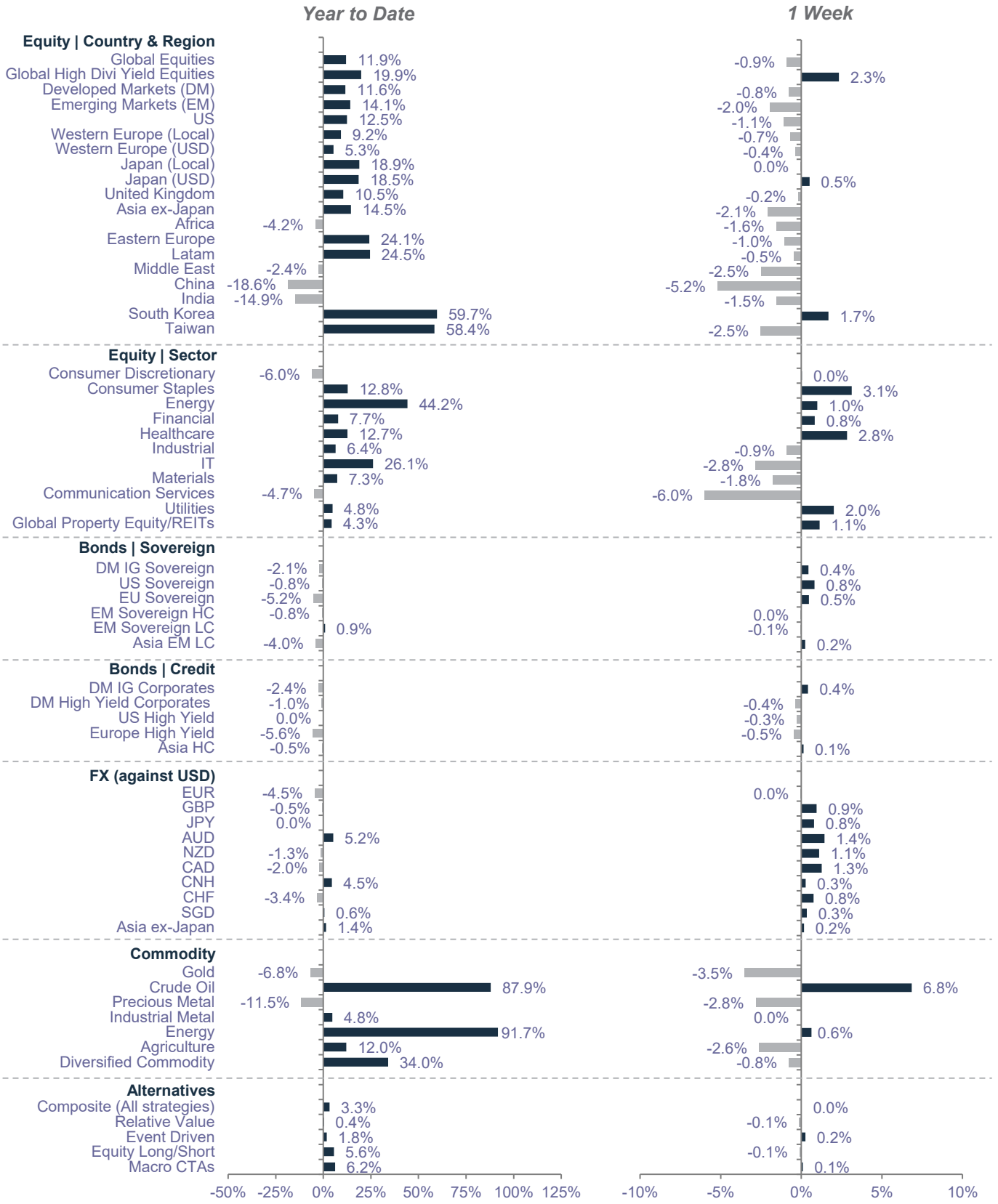
EUR/USD has tended to strengthen following France's past credit default swap (CDS) peaks

EUR/USD % change, France's five-year CDS



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 22 October 2026; 1-week period: 15 October 2026 to 22 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
		China Financials	▲
Credit		China Communication	▲
Asia USD	◆	China Materials	▲
Corp DM HY	◆	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

The S&P500 has next interim resistance at 7,800

Technical indicators for key markets as of 22 Oct close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,663	7,572	7,800	18.6	1.2
STOXX 50	6,087	5,983	6,278	14.2	3.3
FTSE 100	10,725	10,431	10,956	12.3	3.6
TOPIX	3,998	3,916	4,140	15.5	2.4
Shanghai Comp	3,658	3,549	3,867	12.0	3.2
Hang Seng	22,935	22,124	24,499	9.5	3.8
Nifty 50	22,688	22,082	23,391	16.8	1.9
MSCI Asia ex-Japan	1,030	983	1,122	9.0	2.7
MSCI EM	1,576	1,513	1,699	8.9	3.1
Crude oil (WTI)	99.5	87.4	111.0	na	na
Gold	4,025	3,905	4,260	na	na
UST 10Y Yield	4.95	4.79	5.24	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	IFO Business Climate	Oct	–	89.9
	USD	Chicago Fed Nat Activity Index	Sep	–	-0.04
TUE	CNH	Industrial Profits y/y	Sep	–	4.2%
	USD	Durable Goods Orders	Sep P	1.4%	-0.1%
	USD	Conf. Board Consumer Confidence	Oct	80.3	81.9
WED	NZD	RBNZ Official Cash Rate	28-Oct	–	2.8%
	EUR	GfK Consumer Confidence	Nov	–	-30.6
	CAD	Bank of Canada Rate Decision	28-Oct	2.3%	2.3%
THU	USD	FOMC Rate Decision (Upper Bound)	28-Oct	4.0%	4.0%
	EUR	Economic Confidence	Oct	–	97.9
	USD	Personal Income	Sep	0.3%	0.2%
	USD	PCE Price Index y/y	Sep	3.6%	3.4%
	USD	Core PCE Price Index y/y	Sep	3.1%	3.0%
	EUR	ECB Deposit Facility Rate	29-Oct	–	2.5%
FRI/SAT	JPY	BOJ Target Rate	30-Oct	–	1.3%
	EUR	Unemployment Rate	Sep	–	6.4%
	CNH	Manufacturing PMI	Oct	–	50.1
	CNH	Non-manufacturing PMI	Oct	–	50.2

Source: Bloomberg, Standard Chartered

Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated

P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 22 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↑	2.26
Global Equities	●	↑	1.77
Gold	●	↑	2.12
Equity			
MSCI US	●	→	1.57
MSCI Europe	●	↑	1.71
MSCI AC AXJ	●	↓	1.54
Fixed Income			
DM Corp Bond	●	↑	1.96
DM High Yield	●	↓	1.54
EM USD	●	→	1.64
EM Local	●	↑	1.53
Asia USD	●	→	1.74
Currencies			
EUR/USD	◐	↓	1.49

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >

SC Wealth Insights

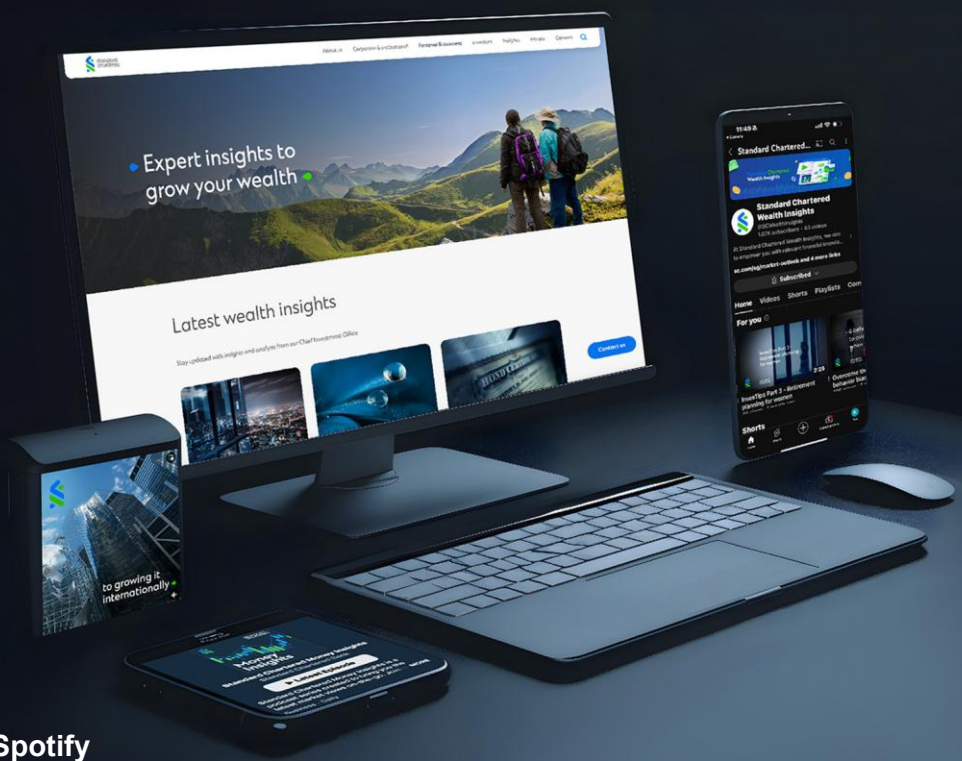
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Explanatory notes

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WS Global CIO Office
16 October 2026

Weekly Market View

Staying defensive and diversified

➔ We turned defensive towards equities two weeks ago. Since then, the Nasdaq-100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields, tightening financial conditions

➔ We have extended our defensive stance this week, closing our opportunistic bullish Communication Services idea and initiating a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive.

➔ In fixed income, we see opportunities in the US 10-year government bond. We await clearer AI profit margin and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

What are the takeaways from US bank earnings? Are you still positive on Japan banks?

How does the September US inflation report impact your USD and bond views?

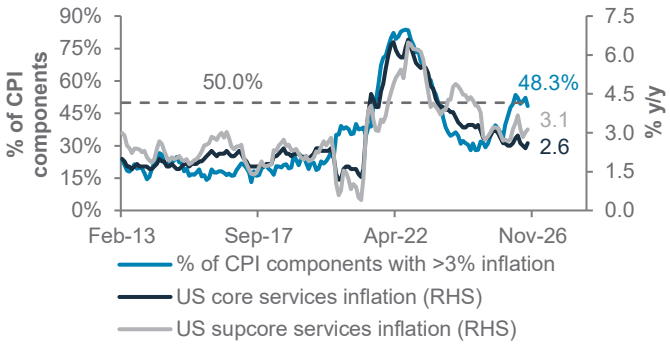
Can Big Tech earnings guidance sustain confidence in the AI investment cycle?

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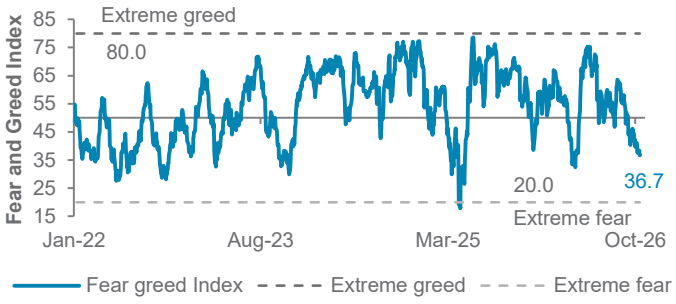
Charts of the week: No capitulation

A hotter-than-expected US inflation report triggered a pullback in risk assets, but there are few signs of capitulation so far

US core and supercore inflation; US inflation breadth*



Our 'Fear and Greed' indicator



Source: Bloomberg, Standard Chartered; *share of US consumer inflation components rising more than 3%

Editorial

Staying defensive and diversified

Strategy summary: Two weeks ago, we turned defensive towards equities, locking in semiconductor equity gains amid elevated bond volatility, narrowing market breadth and political uncertainty before the US mid-term elections. The near-term outlook reflected a less favourable risk-reward balance. Since we turned defensive, the Nasdaq 100 index has recorded its biggest weekly decline in three months as September's hotter-than-expected US inflation report briefly lifted bond yields.

We have extended our defensive stance this week, downgrading US Communication Services equities to Neutral and upgrading US Healthcare to Overweight. We also closed our opportunistic bullish Communication Services idea and initiated a bullish idea on Healthcare, where earnings visibility and defensive characteristics appear more attractive. In fixed income, we see opportunities in US 10-year government bonds. We await clearer AI profit margins and spending guidance, broader earnings growth or lower bond and equity market volatility before turning positive on equities. Until then, diversification and disciplined entry levels remain important.

Hot US inflation triggers equity pullback; not hot enough for an October Fed hike: Risk assets pulled back after September's hotter-than-expected inflation data (headline 3.7% y/y; core 2.6% y/y). Higher gasoline and diesel prices were the main drivers, but passthrough appeared in airline fares, used cars and transportation services, showing pressures were not confined to energy. Almost half of inflation components are still rising above 3%, a measure recently cited by Fed Chair Warsh. Producer inflation also beat estimates. The reports revive the possibility of an October Fed rate hike, but we expect a divided Fed to weigh it against September's soft jobs report and narrowly hold this month. A December hike appears more likely if inflation remains firm. Although Fed Chair Warsh did not comment on policy at an IMF speech this week, New York Fed chief Williams said he saw no need to hike in 2027. Our base case remains two further hikes by June 2027.

Limited equity pullback so far. Equities fell sharply after the US inflation report, but the pullback is limited. The Nasdaq 100 is 4.5% below its record high, while the S&P 500 remains close to all-time highs despite the latest decline. The S&P 500 volatility index (VIX) has risen from below 15 to 18.2, still well under the 25–30 range typically associated with capitulation and forced selling. Meanwhile, US government bond volatility (MOVE) remains elevated after surging since September. Our stock-bond quant model turned more negative (-2) this week, signalling elevated equity volatility in the near term.

When to turn more constructive on stocks? We would turn more constructive when capitulation signals align: the Nasdaq 100 approaches a 10% drawdown, the VIX rises to 25–30 and our 'Fear and Greed' index enters "extreme fear". Greater confidence would also require easing concerns about AI spending and technology firms' exposure to neocloud revenue, lower bond volatility and our stock-bond model turning positive again. Until these conditions emerge, volatility may remain elevated, favouring a defensive equity stance. Political risk should ease after the US mid-term elections. We continue to seek selective opportunities following excessive corrections.

US financials remain a preferred sector after Q3 earnings: US large banks' earnings were mixed, but underlying trends remain encouraging. Healthy loan and deposit growth supports net interest income, while resilient consumer spending, wealth management activity and a solid M&A and refinancing pipeline strengthen the outlook. Credit risks appear manageable. We remain constructive and favour stronger, diversified franchises.

US government bonds offer value as yields spike: The reversal in US government bond yields after their initial inflation-driven spike suggests limited further upside. The 10-year yield briefly reached 5.32% before slumping as falling equities prompted short-covering. We expect a near-term 5.00–5.25% range and view moves above 5.25% as attractive entry points for our opportunistic 10-year government bond idea. Structural pressures, including term premium and increasing supply to fund fiscal deficits and AI investments, prevent us from turning outright bullish on longer maturities. We, therefore, continue to prefer 3–7-year maturities in broader bond allocations.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

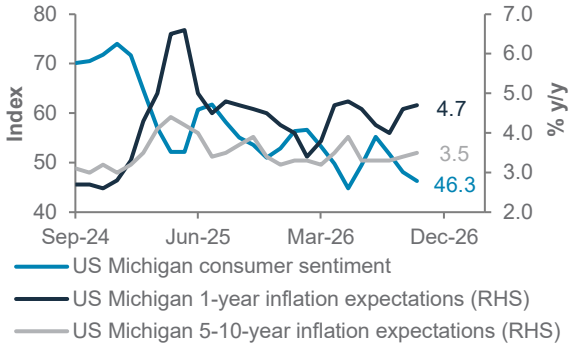
(+) factors: Strong China exports, ramped up fiscal supports

(-) factors: Higher-than-expected US inflation and weak US sentiment; hawkish central banks

	Positive for risk assets	Negative for risk assets
Macro data	• US existing home sales rose unexpectedly to 3.99mn in September • China exports grew 36.3% y/y in September, above estimates	• US headline and core consumer and producer prices rose more than expected in September • US Michigan consumer sentiment fell in October, with rising 1-year and 5-year inflation expectations • US core retail sales slowed and controlled group sales missed estimates in Sep • China consumer price inflation rose by 0.9% y/y in Sep, missing estimates
	Our assessment: Negative – Strong China exports vs. higher-than-expected US inflation and weak US sentiment	
Policy developments	• Fed's Williams said no need for another hike in 2027 after one more hike this year. Waller said inflation expectations are well anchored • Fed's latest Beige Book saw most districts reporting growth • China increased fiscal spending to support its GDP growth target	• The Fed's Hammack said the Fed should move "relatively quickly" to a restrictive monetary policy • ECB's Wunsch said the ECB will likely need to raise interest rates further as inflation approaches 4% • RBA meeting minutes struck a hawkish tone on the outlook for monetary policy
	Our assessment: Neutral – China fiscal policies, divergent Fed views	
Other developments	• EU and China reached a deal to cut Chinese hybrid car exports to Europe by more than half	• Houthis ramped up strike against Saudi cities and Aramco complex with missile and drone attacks • Ukraine will keep its strikes unless Russia agrees to energy ceasefire
	Our assessment: Negative – Intensifying geopolitical tensions	

US Michigan consumer sentiment index fell to 46.3 as high prices and borrowing costs continue to weigh on households

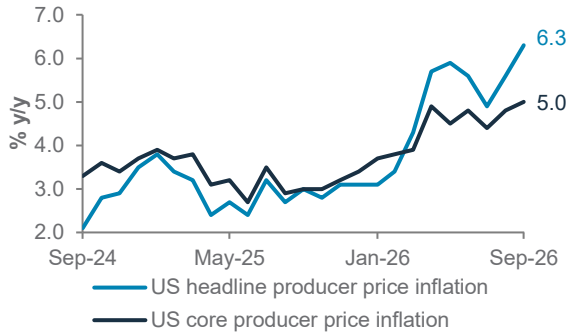
US Michigan consumer sentiment, 1-year and 5-10-year inflation expectations



Source: Bloomberg, Standard Chartered

US headline producer price inflation rose to 6.3% y/y, beating estimates and marking its second-highest level since November 2022

US headline and core producer price inflation



Source: Bloomberg, Standard Chartered

China consumer price inflation missed consensus estimates, while producer prices rose at the fastest pace since June 2022 due to fuel costs

China consumer and producer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

How does the September 2026 US Consumer Price Index (CPI) report alter your view on the USD and bond yields?

Our view: The hotter-than-expected CPI print raises the odds of an October Fed hike, though we still expect a hold followed by a rate hike in December. In the near term, we maintain our view that the US 10-year government bond yield will range between 5.00% and 5.25%, while the USD will remain supported as markets reassess the likelihood of further Fed hikes. Additional gains would depend partly on markets pricing a faster or more prolonged tightening cycle, while clearer signs of an approaching policy rate peak could see the USD ease back.

Rationale: September US consumer inflation came in above consensus across the board – **headline CPI** rose 3.7% y/y (vs. 3.6% estimate), and **core CPI** rose 2.6% y/y (vs. 2.5% estimate) – marking the fastest headline acceleration in five months. This shifts the balance of risks **modestly hawkish**. Unsurprisingly, the market-implied probability of an October Fed hike rose over 50% overnight but closed the day at 32.7% – 9ppt higher than Tuesday's close.

We believe a split Fed will weigh this inflation report against the soft September jobs report and narrowly vote to keep **rates on hold this month**. Our base case remains for **two more Fed hikes by June 2027**. A December rate hike now looks more like a done deal, especially as persistently higher oil prices keep headline and core inflation elevated for at least the next few months. Any re-escalation of the Middle East conflict after the **US mid-term elections** would exert pressure on the Fed, although we believe Republicans would show greater restraint in US foreign action if they suffer steep Senate losses, which looks increasingly likely.

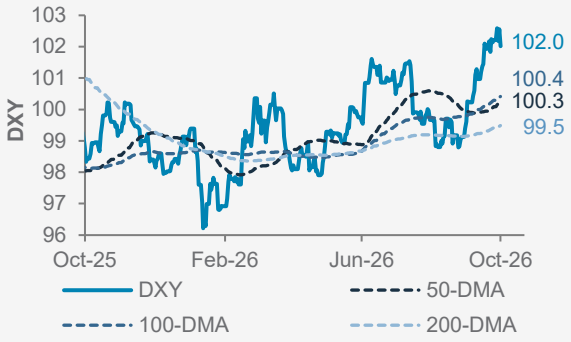
The intra-day price action in US government bonds was instructive. **The US 10-year yield briefly spiked to 5.32% on the print** before closing materially lower, as pre-existing bearish positioning was unwound and Fed speakers (Barkin, Goolsbee) stopped well short of signalling an imminent move. This dynamic reinforces our view that the **technical selling pressure** driving yields towards the upper end of our range is fading. Structural drivers – term premium, fiscal supply concerns and 'higher for longer' Fed repricing – remain intact and keep us from turning outright bullish on duration. However, our opportunistic bullish idea in US 10-year government bonds initiated at September-end remains, as we continue to view spikes in US 10-year yields over 5.25% as a **good risk-reward entry**. From a longer-term portfolio standpoint, we continue to favour the 3-7-year tenor.

On FX, elevated US government bond yields should sustain the USD's **interest rate appeal**. However, expected hikes alone will not drive further appreciation. Stronger data or firmer Fed guidance would provide fresh support, while evidence that tightening is nearing completion would temper the USD's strength.

— **Vincent Tan**, *Senior Investment Strategist*
— **Ray Heung**, *Senior Investment Strategist*

The US Dollar Index (DXY) is likely to stay rangebound between 102 and 103, supported by elevated US government bond yields

The DXY and technicals



Source: Bloomberg, Standard Chartered

The US 10-year government bond yield spiked initially after the US CPI print, but closed the day lower. We expect the US 10-year yield to stay rangebound within 5.00-5.25% in the near term

US 10-year government bond yield



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What are your key takeaways from US bank earnings?

Our view: Q3 2026 earnings results from major US banks have been mixed, but underlying trends remain encouraging. Healthy loan and deposit growth, resilient consumer spending and wealth management activity continue to support the sector. Credit risks remain manageable. We remain constructive on the US financial sector, favouring stronger, diversified franchises.

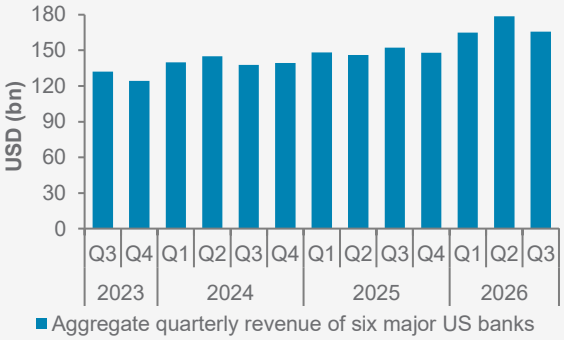
Rationale: Healthy loan and deposit growth continue to support net interest income (NII), hinting that the US economy remains resilient. Capital markets revenue grew year-on-year (y/y), but moderated sequentially after a very strong Q2 2026, although performance varied across banks. Management commentary points to **a healthy deal pipeline**, supported by M&A activity and debt refinancing demand, although execution will depend on market conditions.

Provisioning and net charge-off trends were mixed across banks, with **no clear signs of broad deterioration in credit quality**. Firmer US inflation raises the risk of further monetary tightening. While higher rates can support asset yields, they can also **increase funding costs, pressure borrowers and weigh on securities' valuations**. We will continue to monitor lending demand, credit costs, NII trends, capital markets momentum and capital returns.

— **Robin Xie,** *Senior Investment Strategist*

US banks' revenues remain resilient despite moderation from a record-high Q2 2026

Aggregate quarterly revenue (USD bn) of six major US banks



Source: Bloomberg, Standard Chartered

Can Big Tech's earnings guidance sustain confidence in the AI investment cycle?

Our view: We expect Big Tech's AI spending to remain elevated, supporting our constructive AI capex outlook. However, we await guidance on the pace of capex growth and the sustainability of profit margins.

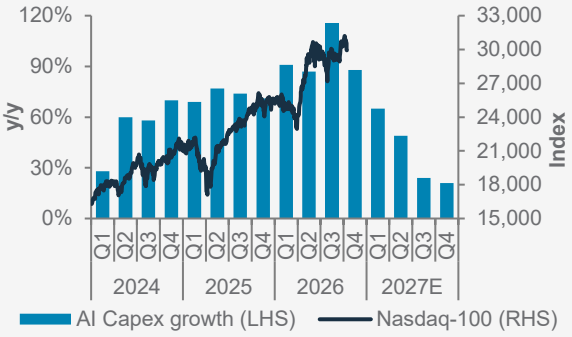
Rationale: Semiconductor leaders' latest company guidance points to supply constraints extending through 2028, supporting **continued capacity expansion for compute**. However, while AI capex is still likely to rise, **y/y growth is expected to moderate** from c.100% in Q3 2026 to c.20% in Q3 2027. This normalisation in growth could raise concerns about the AI investment cycle's durability.

The **Nasdaq-100 Index** has rallied alongside accelerating AI capex. Slower capex growth is likely to moderate semiconductor revenue growth, while **hyperscalers** continue to incur depreciation costs on past investments. The slower growth is already partially reflected in the Nasdaq-100's valuation de-rating this year. **While we remain constructive on the AI investment theme, we prefer to stay prudent in the near term** and await Big Tech's guidance for greater visibility into spending plans in H2 2027 and beyond.

— **Ryan Goh**, *Investment Strategist*

AI capital expenditure (capex) growth is expected to moderate to around 20% in Q3 2027

AI capex growth (y/y) vs. the Nasdaq-100 Index



Source: FactSet, Bloomberg, Standard Chartered

Top client questions (cont'd)

Would France face a credit rating downgrade by rating agencies this month? What might be the market implications?

Our view: A rating downgrade is unlikely unless France's 2027 budget passes the National Assembly very soon with material changes to the proposal. We see French government bond yields remaining elevated relative to German Bund yields.

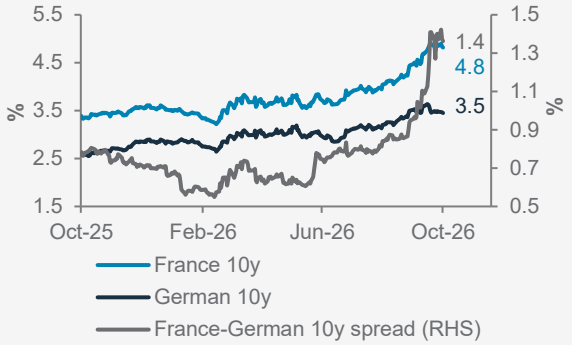
Rationale: The French National Assembly began debating France's 2027 draft budget on 13 October 2026, with the first vote scheduled for 20 October. **Near-term budget approval appears unlikely**, as opposition parties have tabled motions to reject the proposal. The French Parliament has up to 70 days from the budget's submission to complete the legislative process, although its final adoption and the resolution of political challenges could extend into early 2027.

Last October, two of the three major rating agencies downgraded France by one notch to the **high-single-A category** with stable outlooks. The remaining agency rated France in the **low-AA category** with a negative outlook. As negative outlooks are typically resolved within 12-18 months, agencies have time to await fiscal clarity before acting. We believe **downgrade risks** are largely priced in after the recent rise in yields, but volatility is likely to persist amid fiscal uncertainty and the approaching presidential election. Banks and domestically-focused issuers would face the greatest near-term pressure. However, we would view wider spreads as an **opportunity to add exposure, particularly to French banks' subordinated debt**, given their stronger balance sheets and the fact that France contributes less than 50% of major French banks' overall revenue.

— **Ray Heung,** *Senior Investment Strategist*

France's government bond yields remain elevated amid fiscal and political turmoil

France and Germany's 10Y government bond yields and the yield spread



Source: Bloomberg, Standard Chartered

Are you still positive on Japanese banks?

Our view: We are positive on Japanese banks despite the recent market correction, as the structural drivers of improving profitability and shareholder returns remain intact. While political risk and shifting BoJ rate hike odds could sustain near-term volatility, we see the recent pullback as an opportunity to build selective exposure to Japanese bank stocks.

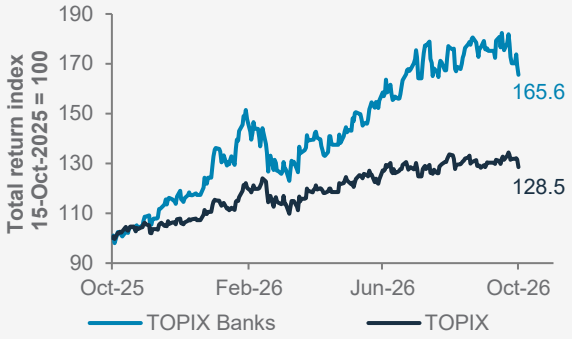
Rationale: Japan's **gradual monetary policy normalisation** should support banks' NII as floating-rate loans reprice and maturing assets are reinvested at higher yields. Healthy corporate lending demand, improving capital efficiency and continued share buybacks provide further support. While uncertainty over the pace of BoJ tightening could weigh on sentiment, we see gradual interest rate normalisation as **supportive of medium-term bank profitability**.

Key risks include rising deposit costs, mark-to-market losses on bond portfolios and a disorderly increase in Japanese government bond yields. We continue to favour **well-capitalised banks** with strong domestic deposit franchises and improving returns on equity.

— **Robin Xie,** *Senior Investment Strategist*

Japanese banks' longer-term outperformance puts recent volatility in perspective

TOPIX Banks vs. TOPIX performance (rebased to 100)



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Could NZD/USD rebound from its one-year trough? If so, how far could it recover?

Our view: New Zealand's improving domestic conditions, persistent inflation and technical support provide a basis for NZD/USD's initial recovery towards the 0.57 level, although elevated US bond yields could slow its progress.

Rationale: In Q3, New Zealand's seasonally-adjusted business confidence reading rose to a net 40% of firms expecting the economy to improve, up from net 14% in Q2. Hiring intentions improved, and filled jobs rose 0.2% m/m in August. These developments suggest **domestic conditions remain supportive for the NZD**.

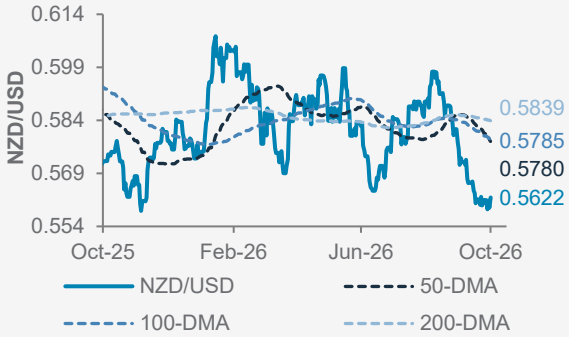
New Zealand's above-target inflation keeps further RBNZ tightening in focus. The 22 October **consumer inflation data release** and the 28 October **RBNZ policy meeting** are key catalysts: persistent price pressures and improving demand are expected to prompt firmer policy guidance and strengthen the NZD's interest-rate appeal.

NZD/USD's position near the lower boundary of its downtrend channel suggests **scope for a technical rebound**. We see 0.57 as the first recovery hurdle; a sustained break above this level would strengthen the case for further gains. Firmer US consumer inflation remains a headwind, making **a gradual recovery more plausible than a sharp reversal.**

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

NZD/USD is likely to rebound towards near-term resistance at 0.57

NZD/USD and technical indicators



Source: Bloomberg, Standard Chartered

Can the proposed Russia-Ukraine 'energy ceasefire' contain oil prices as Middle East risks rise?

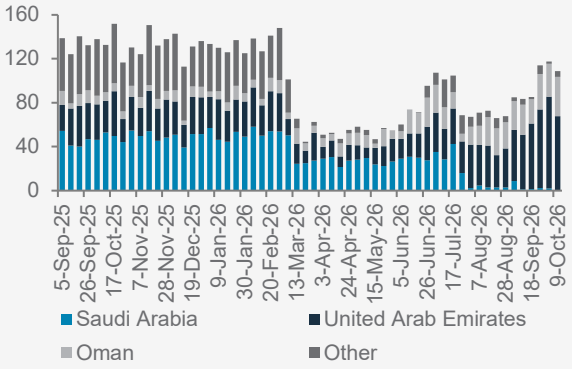
Our view: We expect escalating Middle East tensions to keep oil prices elevated. We maintain our three- and 12-month West Texas Intermediate (WTI) oil price forecasts at USD 100/bbl and USD 80/bbl, respectively, and continue to favour US Treasury Inflation-Protected Securities (TIPS) as a portfolio hedge against persistent inflation risks.

Rationale: The **proposed Russia-Ukraine 'energy ceasefire'** still looks some way off. In our view, even if an agreement is reached, it would do little to ease the supply risks building in the Middle East. **Gulf oil exports** have recovered to above 80% of pre-conflict levels in recent weeks, helping moderate the pace of price increases. However, the recovery remains vulnerable to disruptions, particularly following the latest Houthi attacks on Saudi energy infrastructure. **Diesel and jet fuel remain under the most pressure**, with Gulf exports of these fuels in September at only around 60% of pre-conflict levels. A sustained disruption to major Saudi production or export infrastructure remains the principal upside risk to oil prices.

— **Anthony Naab,** *Investment Strategist*

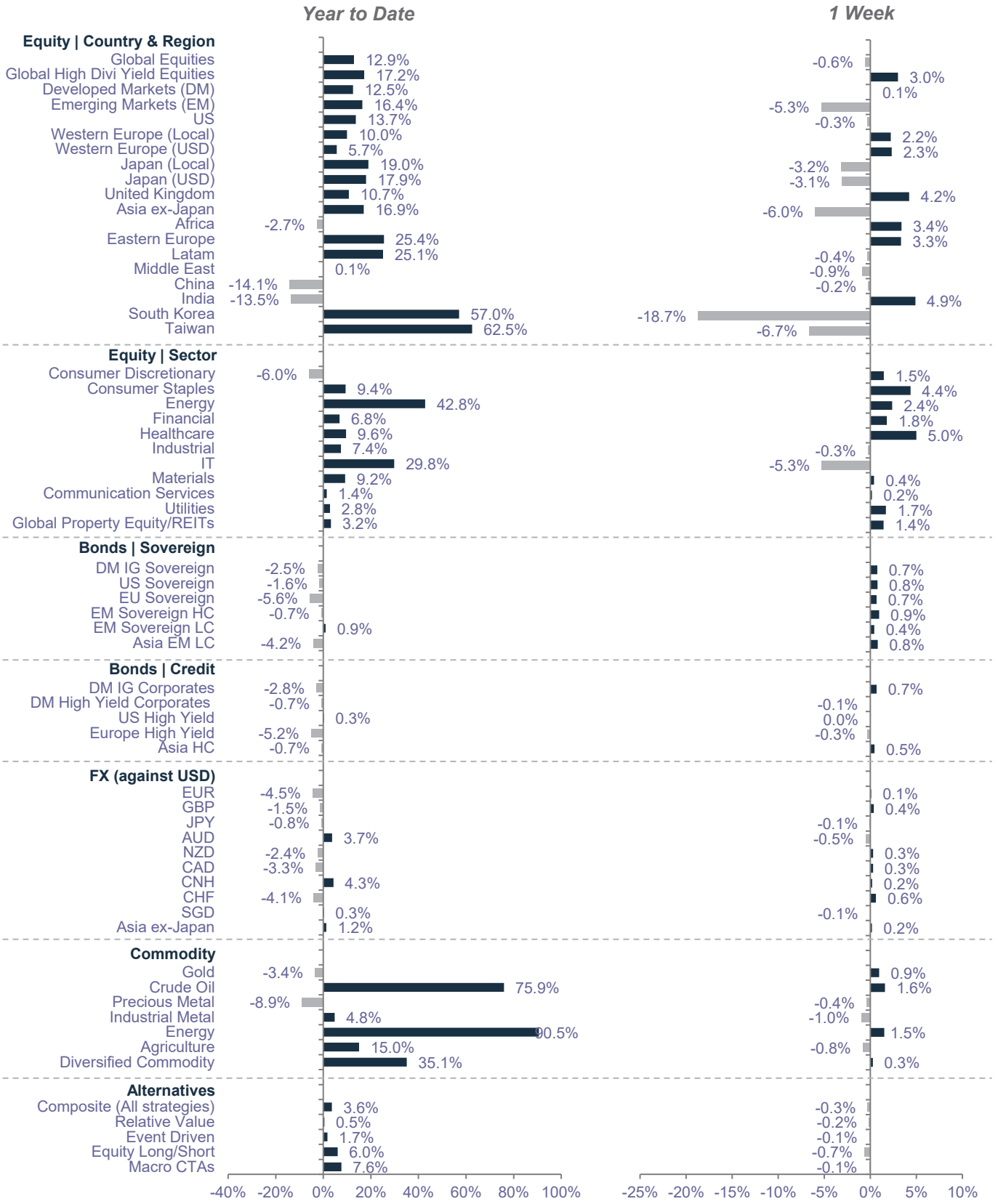
Robust Gulf oil exports are tempering oil price pressures, but supply risks should sustain a geopolitical risk premium

Weekly Gulf oil exports by source – September 2025 to date



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 15 October 2026; 1-week period: 8 October 2026 to 15 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Healthcare	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
		China Financials	▲
Credit		China Communication	▲
Asia USD	◆	China Materials	▲
Corp DM HY	◆	China Healthcare	▲
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
Govt		**Gold**	▲
Govt EM Local	◆		
Govt DM IG	▼		

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	CNH	GDP y/y	3Q	4.4%	4.3%
	CNH	Retail Sales y/y	Sep	0.5%	0.4%
	CNH	Industrial Production y/y	Sep	5.5%	5.2%
	CNH	Fixed Assets Ex Rural YTD y/y	Sep	-7.3%	-7.2%
	CNH	Property Investment YTD y/y	Sep	-20.0%	-19.9%
TUE	EUR	Germany ZEW Survey Expectations	Oct	–	34.7
	EUR	Germany ZEW Survey Current Situation	Oct	–	-47.1
	USD	Housing Starts	Sep	1300k	1275k
	USD	Building Permits	Sep P	1388k	1403k
WED	GBP	CPI y/y	Sep	–	3.1%
	GBP	CPI Core y/y	Sep	–	2.6%
THU	EUR	Consumer Confidence	Oct P	–	-16.5
	USD	Leading Index	Sep	–	-0.1%
FRI/SAT	EUR	S&P Global Eurozone Manufacturing PMI	Oct P	–	52.9
	EUR	S&P Global Eurozone Services PMI	Oct P	–	53.0
	USD	S&P Global US Manufacturing PMI	Oct P	–	55.9
	USD	S&P Global US Services PMI	Oct P	–	58.8

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,890

Technical indicators for key markets as of 15 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,744	7,553	7,890	18.9	1.2
STOXX 50	6,168	6,051	6,326	14.5	3.3
FTSE 100	10,840	10,516	11,017	12.4	3.6
TOPIX	3,999	3,917	4,142	15.6	2.4
Shanghai Comp	3,707	3,599	3,892	12.1	3.2
Hang Seng	24,063	23,449	24,966	10.0	3.6
Nifty 50	22,997	22,254	23,667	17.0	1.9
MSCI Asia ex-Japan	1,052	1,010	1,131	9.3	2.7
MSCI EM	1,608	1,551	1,712	9.2	3.0
Crude oil (WTI)	98.0	87.6	107.5	na	na
Gold	4,171	4,025	4,358	na	na
UST 10Y Yield	5.06	4.86	5.31	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 15 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	↓	1.62
Global Equities	●	↑	1.85
Gold	●	↓	1.64
Equity			
MSCI US	●	→	1.62
MSCI Europe	●	↑	1.60
MSCI AC AXJ	●	→	1.65
Fixed Income			
DM Corp Bond	●	↓	1.58
DM High Yield	●	↓	1.51
EM USD	●	↓	1.53
EM Local	●	↑	1.71
Asia USD	●	↓	1.57
Currencies			
EUR/USD	◐	↓	1.42

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

Access our views 24/7 on key platforms

Market views on-the-go

MVOG >

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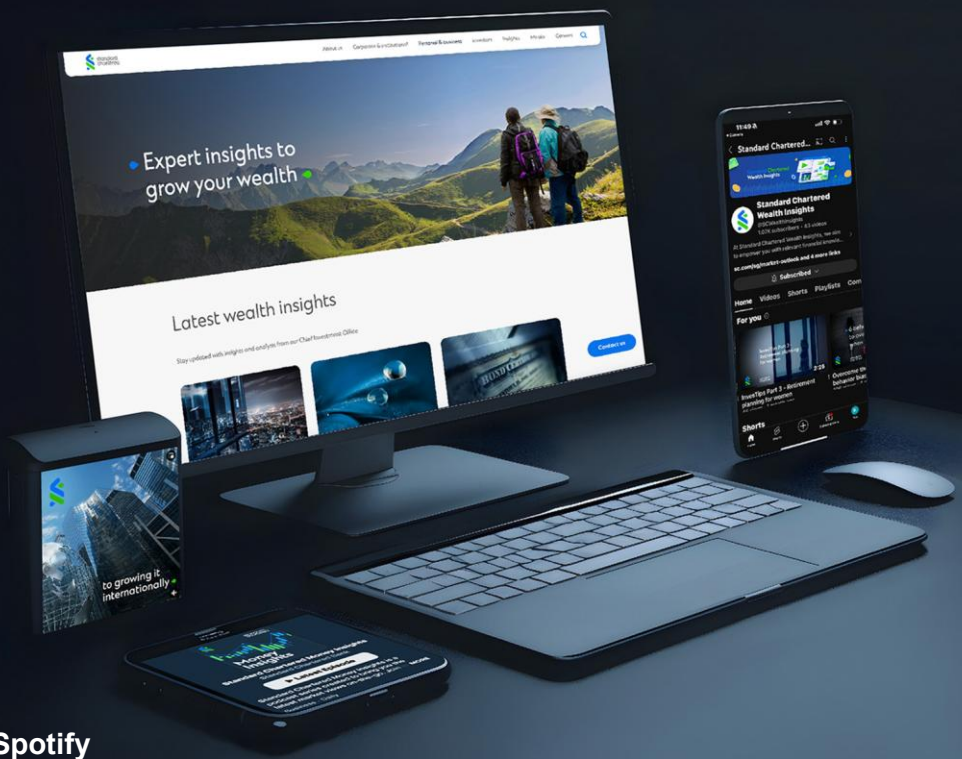
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WS Global CIO Office
9 October 2026

Weekly Market View

Will earnings resolve the bond-equity split?



➔ Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities.

➔ Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding back high-beta exposure within equities.

➔ Consensus estimates point to a 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term.

➔ In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

What are the market implications of France's political and fiscal uncertainty?

What is your outlook for the US Q3 earnings season?

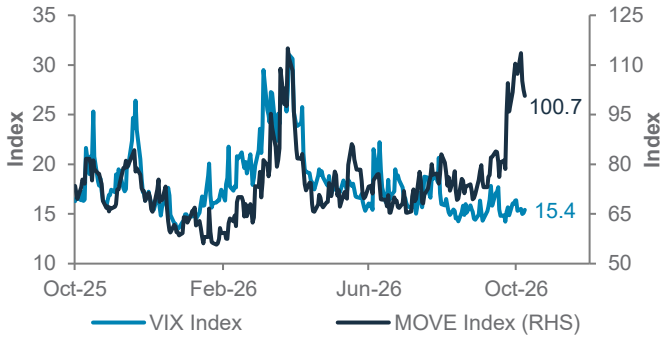
Do you see further upside for USD/JPY?

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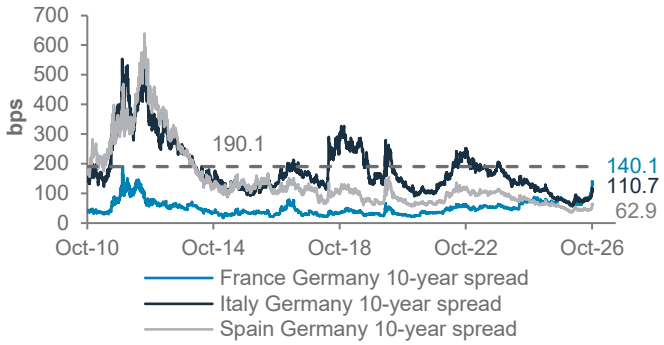
Charts of the week: Diverging volatility

Strong earnings should resolve the bond and equity market divergence; French political risks remain largely contained

S&P500 volatility index (VIX); US bond volatility index (MOVE)*



10-year government bond yield spreads over German bonds



Source: Bloomberg, Standard Chartered; *measures US government bond volatility

Editorial

Will earnings resolve the bond-equity split?

Strategy summary: Bond and equity market volatility has sharply diverged. Elevated bond volatility and political risks in the US and Europe warrant near-term caution, prompting us to lock in tactical gains in semiconductors and Taiwan equities. Our quantitative stock-bond model turned negative for the first time since March 2025, signalling near-term equity volatility. We stay invested in a diversified allocation slightly overweight equities and prefer to navigate the upcoming results and macro events before adding high-beta exposure within equities.

Consensus estimates point to a c. 31% y/y rise in S&P500 Q3 earnings, driven by technology-sector earnings growth of c. 67%. Earnings have beaten lofty estimates in H1 as the AI build-out exceeds expectations. This favours tech-led equities in the medium term. In Europe, French political and fiscal risks cloud the EUR outlook, but regional bank equities remain attractive on robust profitability, capital strength and valuations.

Divergence between equities and bonds. Equity markets signal calm, with the S&P500 index near record highs and its volatility index (VIX) low at 15, while the US government bond volatility index (MOVE) is close to its highest since March. Bond stress reflects two-decade-high long yields amid strong growth, oil close to USD 100/bbl fuelling near-term inflation, fiscal uncertainty and crowded investor short positioning vulnerable to abrupt unwinds. High bond volatility could spill into equities.

Our quantitative stock-bond model turns negative. For the first time since March 2025, the model score has turned negative, driven by deteriorating equity market breadth and above-average risk aversion. History shows global equity volatility rises most in the month after the score dips to -1. However, equities still outperformed bonds over the following 1-12 months, on average, despite higher market risk.

Taking some chips off the table; locking in gains: Rising bond volatility, the negative stock-bond model signal, weak equity breadth and approaching US mid-term elections warrant near-term caution. US small-caps remain about 9% below August's all-time highs even as large-caps reach new records. The macro uncertainty prompted us to lock in gains in semiconductor and Taiwan equity opportunistic ideas.

Strong Q3 earnings season likely to overcome near-term challenges. Strong US and Asian earnings should ultimately resolve the equity-bond divergence in favour of stocks. Consensus S&P500 Q3 earnings growth has risen to 30.6% y/y, while technology is tracking 66.5%, driven by the AI infrastructure buildout. AI investment plans, monetisation and funding needs are key metrics to watch. Record memory-chip profits and higher long-term targets from AI leaders support staying long technology-led risk assets and using near-term volatility to scale into preferred sectors. Also, US equities have historically performed strongly in the 12 months after mid-term elections, particularly when the opposition regains control of the House and the Senate – as seems increasingly likely.

Medium-term constructive on equities. Beyond Q3 earnings, we expect US earnings to rise 15-20% next year. Almost half of the estimated USD 420 per share of S&P500 earnings in 2027 should come from tech-related sectors: information technology, communication services and consumer discretionary. We also favour US, Europe and Japan financial sectors as solid growth and higher rates lift lending income, while the AI buildout boosts advisory fees from IPOs and M&As. However, another 30-50bps rise in long-term bond yields, without earnings growth upgrades, could be a headwind for equities. Next week's US inflation data for September is the next catalyst for bond yields.

French uncertainty challenges near-term EUR view; continue to see opportunities in Euro area bank equities. Rising French political and fiscal risks have largely remained confined to France, with its bond yield spread versus German peers surging to the widest since the 2011-12 Euro area crisis. Nevertheless, EUR/USD has fallen around 4% since mid-August, and our three-month forecast of 1.15 is under review. Tighter financial conditions and political uncertainty in France and Spain raises the risk of an ECB rate hold. Euro area bank equities remain attractive on profitability, capital strength and valuations, subject to sovereign-spread and funding-cost risks.

— ***Rajat Bhattacharya and Sundeep Gantori***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as negative for risk assets in the near-term

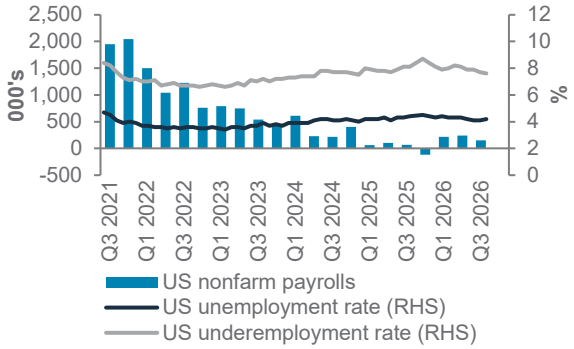
(+) factors: Cooling US payrolls eased Fed hike concerns

(-) factors: Re-accelerating Euro area inflation; France's fiscal crisis

	Positive for risk assets	Negative for risk assets
Macro data	• US non-farm payrolls rose 29,000 in September, significantly missing estimates and easing Fed hike expectations	• US ISM services PMI missed estimates in Sept • Euro area's September headline consumer inflation and August's headline producer price inflation rose unexpectedly • Euro area Sentix investor confidence fell more than expected to 2.7 in October • Euro area retail sales grew by 0.8% y/y in August, missing expectations
	Our assessment: Negative – Weaker-than-expected US services PMI, re-accelerating Euro area inflation	
Policy developments	• Fed's Bowman announced a major bank supervision overhaul that leans toward easing regulations • BoE survey data showed little evidence of second-round inflation effects from higher energy prices	• The Fed's September meeting minutes indicated most officials expect one more hike by year-end • RBI raised its policy rate by 25bps to 5.5%, delivering its first hike in four years
	Our assessment: Neutral – Potential US bank regulatory relaxation vs. Hawkish Fed minutes and an RBI rate hike	
Other developments		• Iran ramped up its strikes as energy flows approach pre-conflict levels • France's fiscal uncertainty led to weakening economic activity and surging French bond yield premia • EU planned import cap on Chinese hybrid vehicles; China warned EU that it has retaliatory measures
	Our assessment: Negative – Ongoing geopolitical tensions; France's fiscal crisis	

US non-farm payrolls came in below estimates in September and the unemployment rate rose, easing near-term Fed rate hike expectations

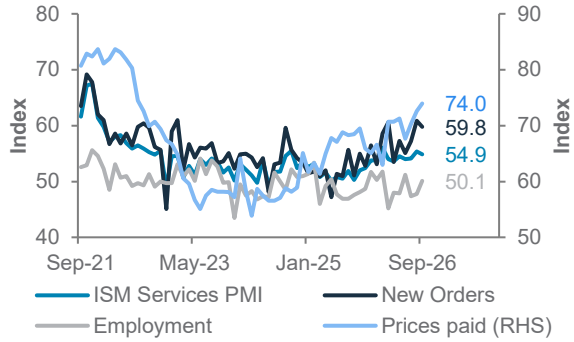
US non-farm payrolls (quarterly), unemployment rate and underemployment rate



Source: Bloomberg, Standard Chartered

US ISM services PMI fell unexpectedly in September, with prices paid PMI for inputs rising to 74.0 and new orders PMI missing expectations

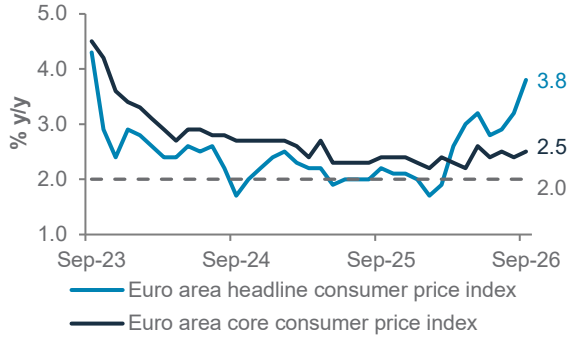
US services PMI and its components



Source: Bloomberg, Standard Chartered

Euro area headline consumer inflation rose to 3.8% in September, marking the fastest rate of inflation since September 2023

Euro area headline and core consumer price inflation



Source: Bloomberg, Standard Chartered

Top client questions

What are the market implications of France's political and fiscal uncertainty?

Our view: France's political and fiscal uncertainty remain near-term headwinds for European assets. We are placing our three-month EUR/USD forecast (1.15) under review for a potential downward adjustment, while retaining our 12-month forecast at 1.18 as broader Euro area spillovers remain limited. Our base case remains one more ECB hike in December followed by a prolonged pause, although tighter financial conditions increase the risk of a delay. For equities, we retain Euro area banks as an Opportunistic idea, supported by strong profitability, capital buffers and reasonable valuations. For bank bonds, we prefer a subordinated capital structure to senior debt.

Rationale: France's 10-year government bond yield has risen amid **renewed political and fiscal concerns**. This has tightened financial conditions and added to the near-term EUR risk premium. Together with elevated US yields, **this raises downside risks to our three-month EUR/USD view**. However, the stress has not yet developed into broad Euro area contagion, and recent expectations of progress on France's 2027 budget have provided some relief. Broader Euro area growth and labour market fundamentals also remain relatively resilient, supporting our **unchanged 12-month EUR/USD view**.

For the ECB, higher sovereign yields are already delivering some monetary tightening. Markets have consequently pared expectations of additional ECB hikes. **We continue to expect one more hike in December**, given elevated near-term inflation, but persistent fiscal or political stress in France and Spain could delay further tightening.

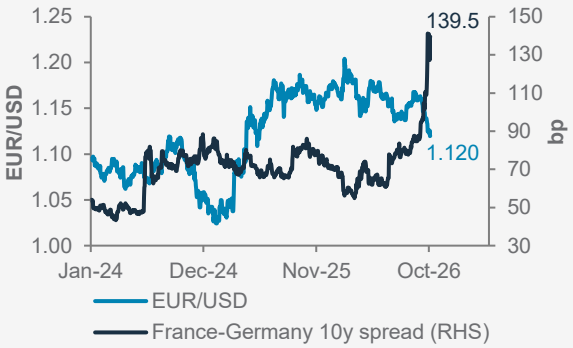
For Euro area banks, **wider sovereign spreads** are likely to raise funding costs and pressure bond portfolios, while fewer ECB hikes would moderate further gains in net interest income. Nevertheless, **profitability** remains strong, **capital buffers** are healthy and **price-to-book valuations** remain reasonable, with **returns on equity** also improving. We, therefore, **maintain Euro area banks as an Opportunistic idea**, while monitoring sovereign spreads, funding costs and any deterioration in loan-loss provisions.

On the bond side, European bank junior subordinated bond prices fell by an average of **3-5 cash points** before rebounding, with French bank subordinated bonds underperforming those of other European peers. As **fundamentals remain strong**, we view pullbacks as opportunities to add and maintain our preference for a subordinated capital structure over senior debt for European bank bonds.

— **Vincent Tan**, *Senior Investment Strategist*
— **Fook Hien Yap**, *Senior Investment Strategist*
Ray Heung, *Senior Investment Strategist*

France's fiscal concerns weigh on the EUR

EUR/USD vs. France-Germany 10Y government bond yield spread



Source: Bloomberg, Standard Chartered

We remain positive on Euro area banks – they outperformed global financials over the past year, but gave up some of their outperformance over the past month

Euro STOXX Banks and MSCI AC World Financials indices over the past year, rebased



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is the likelihood of elevated long-end government bond yields evolving into a systemic risk for the financial sector and public finances?

Our view: We believe systemic risk remains a tail risk rather than a base case in the near term. The probability would rise materially if rollover stress, foreign demand withdrawal and private credit deterioration occur in combination.

Rationale: Higher bond yields worsen fiscal deficits and drive higher issuance requirements, exerting further upward pressure on yields. The resulting tighter financial conditions weigh on economic growth. This feedback loop is most acute in Developed Markets (DMs) where debt burdens are already elevated. For instance, projected 2026 **debt-to-GDP ratios** stand at 204% for Japan, 138% for Italy, 126% for the US, 118% for France and 104% for the UK. Countries with shorter average debt maturities face the sharpest **near-term repricing risk** as maturing obligations are refinanced at current rates. Meanwhile, evidence suggests that **a positive equity-bond correlation increases the sensitivity of yields to bond supply**.

Taking the US as an example, there has been **no buyers' strike on US government bonds yet**, though foreign demand has softened, narrowing the margin of safety. The US government has shifted towards **shorter-dated issuance** to manage funding costs (reducing near-term expenses, but concentrating rollover risk). Economic resilience remains evident, underpinned by **corporate confidence in AI-driven investment**. The key question is whether this expansion can persist long enough to stabilise the fiscal trajectory.

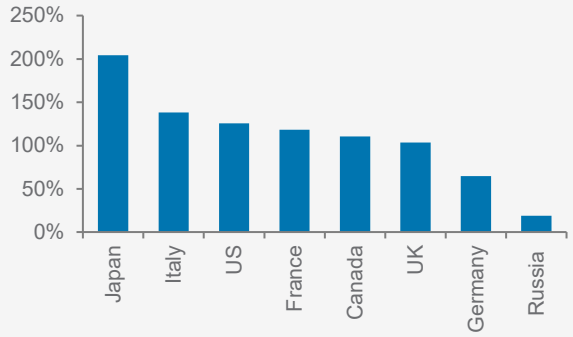
Within the financial sector, **corporate balance sheets remain strong**, while High-Yield (HY) bond and leveraged loan default rates remain contained, though this reflects the lag between rate rises and credit deterioration, not immunity. Following the failure of the Silicon Valley Bank, **liquidity discipline among banks has improved**, but duration mismatches persist.

In **private credit**, default rates are trending upward while the asset class has come under continued scrutiny, with negative headlines and a rise in redemptions triggering fund gating at some private credit managers since Q1 2026. Hence, continued monitoring of **default rates, redemptions and potential stress events** in private credit remains essential. That said, higher rates could buoy **medium-term returns** and **distribution yields** in the asset class, as the majority of direct lending loans have a floating-rate structure.

— **Ray Heung,** *Senior Investment Strategist*

Most G8 economies have government debt-to-GDP ratios exceeding 100%

Projected government debt-to-GDP ratios, 2026



Source: IMF, Standard Chartered

Top client questions (cont'd)

What is your outlook for the US Q3 2026 earnings season, especially for the banking sector?

Our view: We expect another quarter of robust US earnings growth to support our Overweight stance on US equities. We see major US banks, which begin reporting next week, also delivering healthy results, reinforcing our Overweight view on the US financial sector.

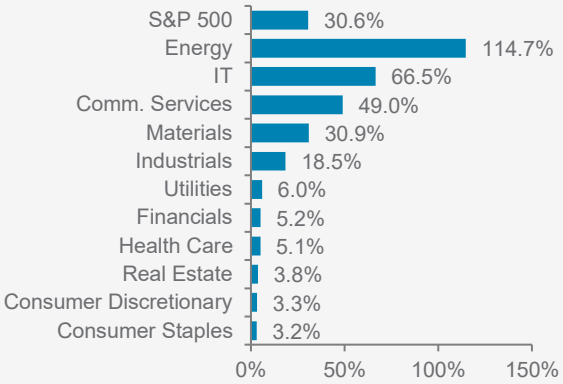
Rationale: Consensus forecasts **S&P500 Q3 earnings growth** of 30.6% y/y, up from 27.6% at the start of July. **Energy** is expected to post the strongest growth at 114.7%, supported by elevated oil prices amid ongoing geopolitical tensions. **Information technology** (66.5%) and **communication services** (49.0%) remain key earnings drivers, benefiting from sustained AI-related demand and investment. The broader outlook remains supportive, with **full-year earnings growth** projected at 35.8% in 2026 and 15.6% in 2027.

For banks, the recent underperformance amid concerns over higher long-term bond yields has, in our view, improved the forward-looking risk-reward profile. Over the medium term, **strengthening loan growth** and **resilient credit quality** should continue to support solid fundamentals. Capital markets activity also remains constructive, with industry leaders well-positioned to benefit from their strong investment banking and trading franchises.

— **Jason Wong,** *Senior Equity Analyst*

Strong US earnings continue to provide support for US equities, with S&P500 estimated earnings growth of 30.6% y/y in Q3 2026

Consensus Q3 earnings growth by sector in the S&P500 Index



Source: LSEG I/B/E/S, Standard Chartered

How could upcoming semiconductor manufacturing and equipment earnings reshape the AI capex outlook?

Our view: We maintain our AI capex outlook as robust demand and ongoing supply constraints support a multi-year expansion cycle. In the near term, however, we take a more prudent stance on semiconductors amid an expected rise in equity volatility.

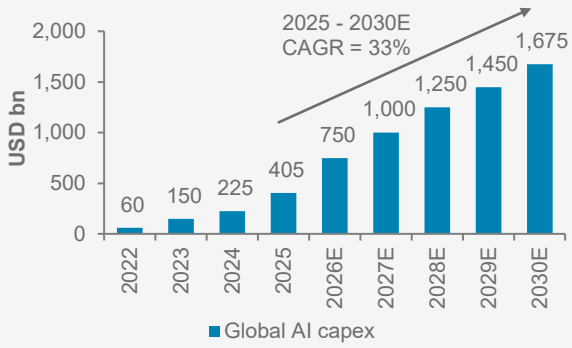
Rationale: Recent memory industry guidance points to **sustained investment in advanced chip manufacturing**, with customer commitments extending through 2031. Upcoming earnings should provide visibility into capacity expansion plans. This supports our AI capex outlook, which we will monitor through the earnings season.

That said, we expect **equity volatility to rise in the near term** amid elevated long-term yields and macroeconomic uncertainty. Recent media reports on AI lab revenues have also led to doubts over monetisation and the ability to sustain elevated capex spending. We thus took profit on our **Global Semiconductors** (8.1% return from 9-Sep-26 to 2-Oct-26) and **MSCI Taiwan** (10.0% return from 9-Jul-26 to 2-Oct-26) Opportunistic ideas following strong performance. This does not reflect a deterioration in fundamentals, but rather a need to be prudent on high-beta exposure. **We remain constructive on the AI theme over the long term.**

— **Ryan Goh**, *Investment Strategist*

The AI capital expenditure (capex) outlook remains firm, despite near-term market risks from macroeconomic headwinds

Global AI capex is projected to reach USD 1.7trn by 2030



Source: Company reports, Standard Chartered

Top client questions (cont'd)

USD/CHF has rebounded sharply over the past two months. What are the key factors behind the move, and do you see the currency pair continuing to move higher?

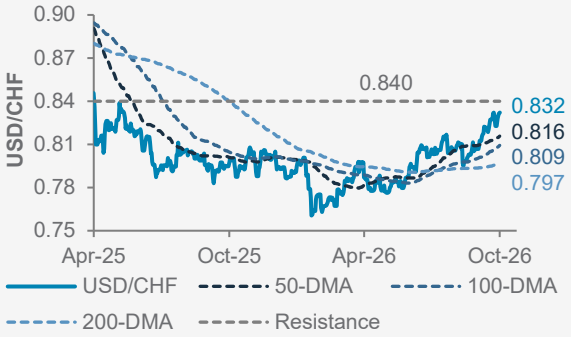
Our view: USD/CHF tested 0.84 amid strong momentum from the USD, but we see the pair remaining supported near-term before gradually moving lower towards 0.82 in three months.

Rationale: The Fed's relatively high policy rate continues to support USD carry demand, while the Swiss National Bank maintains its policy rate at 0%. In the near term, however, the Swiss franc (CHF) could benefit from **increased safe-haven demand amid mounting fiscal concerns in France and political uncertainty in Spain**, particularly if European risk premia continue to rise. Beyond these cyclical factors, Switzerland's substantial net foreign asset position, persistent current account surpluses and low public debt burden continue to underpin **the CHF's structural strength**. Over the medium term, **we expect the USD's rate advantage to gradually diminish** as the Fed approaches the end of its tightening cycle, while the CHF's defensive characteristics should remain supportive.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

USD/CHF gains driven by higher US bond yields are likely to be offset by CHF safe-haven demand

USD/CHF and technical indicators



Source: Bloomberg, Standard Chartered

Do you see further upside for USD/JPY after recent dovish comments from BoJ officials and latest bond auctions?

Our view: We see some near-term upside risk to USD/JPY from elevated US yields, but retain our medium-term constructive JPY view. USD/JPY remains below 159, suggesting markets are mindful of intervention risk as the pair approaches 160. We continue to expect further BoJ normalisation.

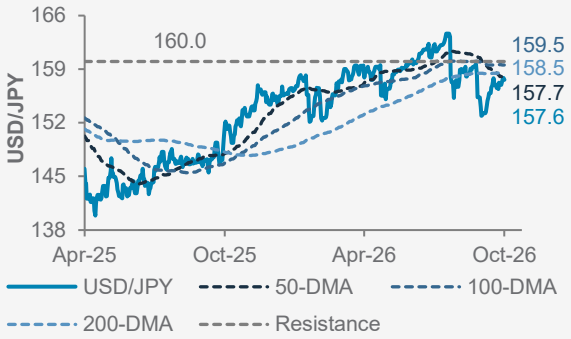
Rationale: Recent BoJ communication appears less dovish than the market narrative had suggested. BoJ Governor Ueda continues to emphasise **the need to anchor underlying inflation around 2%** and gradually reduce monetary accommodation, supporting our view that **the tightening cycle is not yet over**. An October pause would reflect a more measured pace of policy normalisation rather than a change in the BoJ's policy direction.

Recent **Japanese government bond (JGB) auctions** have shown resilient demand despite higher yields. At the latest 10-year JGB auction, **the bid-to-cover ratio improved** to 3.76x from 3.29x previously, while **the auction tail (spread between highest accepted yield and issued yield) narrowed** to 0.2bps from 1.6bps. We see this as indicative of an orderly, functioning market rather than a dovish BoJ signal. Intervention concerns around the 160 level should help limit near-term USD/JPY upside.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

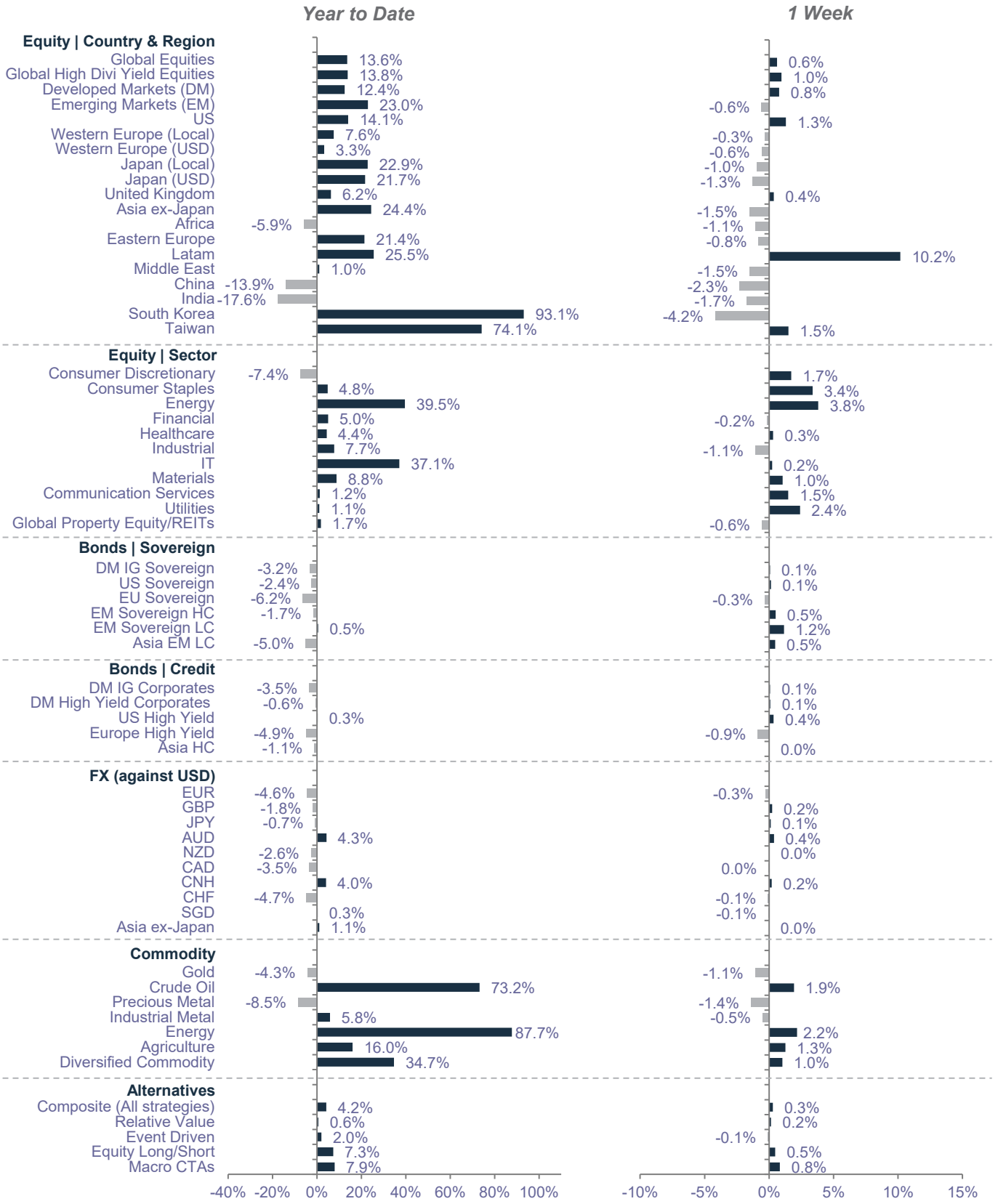
USD/JPY upside is likely capped around 160

USD/JPY and technical indicators



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 8 October 2026; 1-week period: 1 October 2026 to 8 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
Credit		China Financials	▲
Asia USD	◆	China Communication	▲
Corp DM HY	◆	China Materials	▲
Govt EM USD	▲	China Healthcare	▲
Corp DM IG	◆		
Govt		**Alternatives**	◆
Govt EM Local	◆		
Govt DM IG	▼	**Gold**	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON					
TUE	AUD	RBA Minutes of Sept. Policy Meeting	–	–	–
	USD	NFIB Small Business Optimism	Sep	98.0	98.7
	USD	Existing Home Sales	Sep	3.96m	3.98m
WED	CNH	PPI y/y	Sep	4.4%	3.8%
	CNH	CPI y/y	Sep	1.0%	0.8%
	USD	CPI y/y	Sep	3.6%	3.4%
	USD	Core CPI y/y	Sep	2.5%	2.4%
	CNH	Exports y/y	Sep	25.5%	25.0%
	CNH	Imports y/y	Sep	23.1%	28.2%
	CNH	Trade Balance	Sep	$118.3b	$119.1b
THU	USD	Fed Releases Beige Book	–	–	–
	USD	Retail Sales Control Group	Sep	0.3%	1.4%
	USD	Empire Manufacturing	Oct	–	7.6
	USD	Philadelphia Fed Business Outlook	Oct	30.9	37.8
	USD	PPI Final Demand y/y	Sep	–	5.4%
	USD	PPI Ex food & energy y/y	Sep	–	4.6%
FRI/SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,904

Technical indicators for key markets as of 8 Oct close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P500	7,765	7,567	7,904	19.1	1.2
STOXX 50	6,127	6,006	6,332	14.4	3.3
FTSE 100	10,442	10,256	10,739	12.0	3.7
TOPIX	4,091	3,972	4,206	16.0	2.3
Shanghai Comp	3,812	3,749	3,921	12.4	3.1
Hang Seng	23,786	23,217	24,875	9.9	3.6
Nifty 50	22,232	21,688	23,267	16.5	1.9
MSCI Asia ex-Japan	1,120	1,092	1,160	9.8	2.5
MSCI EM	1,699	1,660	1,754	9.6	2.9
Crude oil (WTI)	91.5	83.3	103.2	na	na
Gold	4,133	3,985	4,361	na	na
UST 10Y Yield	5.23	4.87	5.47	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 8 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.47
Global Equities	●	→	1.75
Gold	●	↑	2.38
Equity			
MSCI US	●	→	1.61
MSCI Europe	◐	→	1.44
MSCI AC AXJ	●	↓	2.07
Fixed Income			
DM Corp Bond	◐	↓	1.46
DM High Yield	◐	→	1.48
EM USD	◐	↓	1.41
EM Local	●	↑	1.78
Asia USD	◐	↓	1.49
Currencies			
EUR/USD	◐	↓	1.41

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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MVOG >

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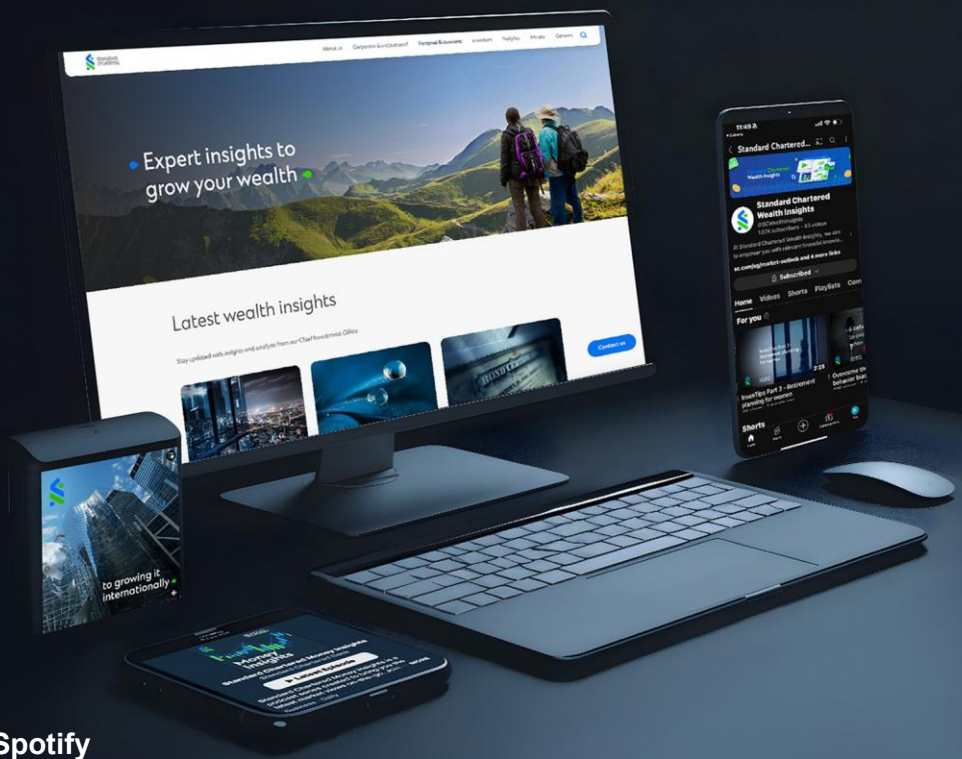
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WS Global CIO Office
2 October 2026

Weekly Market View

Opportunities from the bond sell-off



➔ The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon.

➔ We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as the impact of oil prices and tariffs ease next year.

➔ In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services. We remain constructive on the semiconductor and memory segments.

➔ We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Can equities withstand higher bond yields?

How do US mid-term election outcome scenarios affect the outlook for equities?

What is the outlook for AUD and AUD bonds after the latest RBA policy meeting?

Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Compelling yields

The risk-reward in US 10-year government bonds looks compelling; in equities, we stick to quality large-cap segments

Expected total returns on government bonds from shifts in yields*

Expected yield in 12 months	US	Germany	Japan	UK
7.0%	-7.4	-17.9	-20.3	-5.3
6.5%	-4.1	-15.1	-18.6	-2.0
6.0%	-0.6	-12.0	-16.7	1.5
5.5%	3.0	-8.8	-14.4	5.2
5.0%	6.9	-5.3	-11.9	9.0
4.5%	10.9	-1.7	-9.1	13.1
4.0%	15.1	2.2	-6.1	17.3
3.5%	19.5	6.3	-2.7	21.6
3.0%	24.1	10.6	0.9	26.2
2.5%	28.9	15.1	4.8	30.9
2.0%	33.8	19.8	9.0	35.8
1.5%	38.9	24.7	13.4	40.9
1.0%	44.2	29.9	18.2	46.2
0.5%	49.7	35.2	23.2	51.6
0.0%	55.4	40.8	28.5	57.3

Relative 12-month performance of S&500, S&P400 & S&P600^



Source: Bloomberg, Standard Chartered; *annualised total returns, with dotted lines showing current yield levels; ^Index: 100 = 1 October, 2025

Editorial

Opportunities from the bond sell-off

Strategy summary: The global bond sell-off is creating tactical and medium-term opportunities. In the US, September's yield surge has improved the risk-reward in 10-year government bonds, presenting an attractive entry point for investors with a 6-12-month horizon. We believe bond and money markets are overly hawkish about the Fed outlook, given disinflation is likely to return as impact of oil prices and tariffs ease next year.

In equities, we stick to quality, especially sectors riding the AI-led earnings boom. The upcoming Q3 earnings season is likely to show AI-investments are powering sectors beyond the technology and communications services, such as financials, materials and power and electrification. We remain constructive on the semiconductor and memory segments. We also expect the US Dollar to peak in the next few weeks along with short-to-medium-term US bond yields. This creates opportunities for AUD corporate bonds, Emerging Market USD bonds and gold.

Attractive risk-reward in US 10-year government bonds. The US 10-year bond yield rose more than 50bps in September (biggest monthly rise since 2022) and 115bps this year, amid expectations of economic resilience, higher Fed rates, fuel-driven inflation, AI-related capital demand and fiscal concerns. Valuations appear close to fair value, improving the 6-12-month risk-reward. Bond arithmetic suggests losses of less than 1% if the yield rises to 6%, vs. more than 10% gains if it falls to 4.5%.

Resilient US economic activity, but softer-than-expected inflation. September data showed robust US employment (jobless claims, ADP) and core capital-goods orders. However, consumer confidence remains depressed, real disposable income is flat and households are drawing on savings to sustain spending. Against this divided backdrop, core PCE inflation - the Fed's preferred gauge - was softer than expected at 0.2% m/m and 3.0% y/y. A revised method to measure PCE inflation also indicate that annual core PCE inflation was 35bps lower than previously reported, narrowing the gap with CPI inflation.

Markets appear overly hawkish on the Fed. Money markets price about 85bps of tightening over the next 12 months. A strong labour market (September's non-farm payrolls data is due tonight) may justify one or two further hikes, but aggressive tightening after the sharp rise in bond yields – which has already tightened financial conditions - could threaten financial stability. US small- and mid-cap equities have already fallen 8–9% from recent peaks over the past couple of months, materially underperforming large caps, as energy and borrowing-cost concerns intensify. While some Fed speakers remain hawkish, we agree with New York Fed President Williams' that there is no urgency to tighten. We see little chance of an October Fed rate hike and expect inflation data for Sep-Nov determining whether the Fed moves in December.

Stay with quality equities and AI beneficiaries. US large caps have absorbed the rise in bond yields relatively well, supported by expectations of robust earnings growth led by AI-related investment. We continue to favour quality companies and sectors benefiting from this AI cycle. Semiconductors and memory remain preferred exposures: structural AI demand should extend the memory upcycle, while long-term supply agreements provide better revenue visibility. The opportunity is also broadening beyond technology and communication services into financials, materials, power and electrification.

Opportunities in AUD corporate bonds and gold. The USD rebound alongside higher US yields offers a tactical opportunity to add higher-yielding Emerging Market USD and non-USD bonds. We remain positive on AUD corporate bonds, which offer a yield premium over comparable US credit. Our constructive medium-term AUD/USD view could add returns for USD-based investors over the next 6–12 months. We would also use gold's recent pullback to add exposure, supported by sustained Emerging Market central bank demand. We continue to view USD 4,000/oz as important technical support for gold.

— ***Rajat Bhattacharya***

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as neutral for risk assets in the near-term

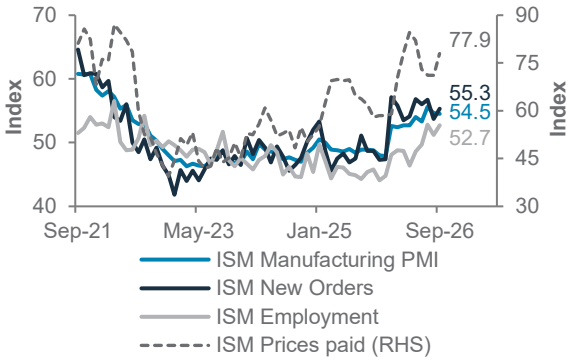
(+) factors: Soft US inflation, China stimulus, easing US-China tensions

(-) factors: Weak US and Euro area sentiment; geopolitical tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US core PCE inflation at 0.2% m/m and 3.0 y/y was softer than expected • China PMI non-manufacturing PMI beat estimates at 50.2 in September, with manufacturing PMI rising to 50.1 as expected • US private sector employment (ADP) beat expectations in September • US ISM manufacturing new orders PMI rose more than expected to 55.3	• US ISM manufacturing PMI dropped unexpectedly to 54.5 in September • US JOLTS job openings fell to 7.08mn in August, missing consensus • US Conference Board consumer confidence index fell unexpectedly to 81.9 in September • Euro area economic confidence fell more than expected in September • China's industrial profit growth slowed to 4.2% y/y in August
	Our assessment: Neutral – Softer US core PCE inflation, robust jobs vs. weak sentiment in the US and Euro area	
Policy developments	• China unveiled targeted policy easing, including a rate cut for policy banks, higher technology relending quotas, and mortgage subsidies • Fed's Williams said there was no urgency for the next Fed rate hike • RBA's guidance was less hawkish than feared	• Fed's Barr, Musalem, Cook, Goolsbee and Kashkari said further rate hikes will be needed amid a robust economy and still-elevated inflation • BoE Governor Bailey warned elevated energy prices could make it harder to keep rates on hold
	Our assessment: Neutral – China stimulus; mixed Fed views	
Other developments	• US-China agreed limited tariff relief covering roughly USD30bn of trade in each direction, extending the recent trade truce	• US-Iran negotiations remain unresolved, with disagreements over sanctions relief and Hormuz reopening
	Our assessment: Neutral – Easing US-China trade tensions vs. ongoing geopolitical tensions	

US ISM manufacturing PMI fell unexpectedly in September, while prices paid for inputs jumped to 77.9; however, new orders PMI beat expectations

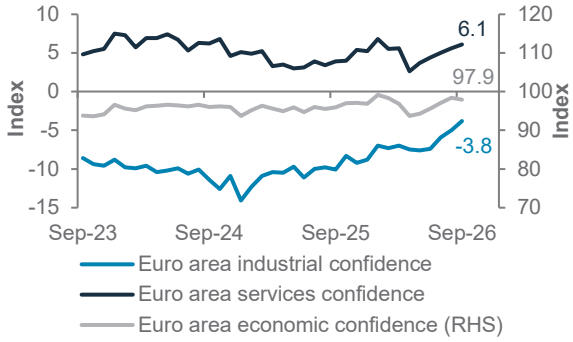
US manufacturing PMI and its components



Source: Bloomberg, Standard Chartered

Euro area economic confidence fell more than expected in September, although industrial sector confidence continued to improve from weak levels

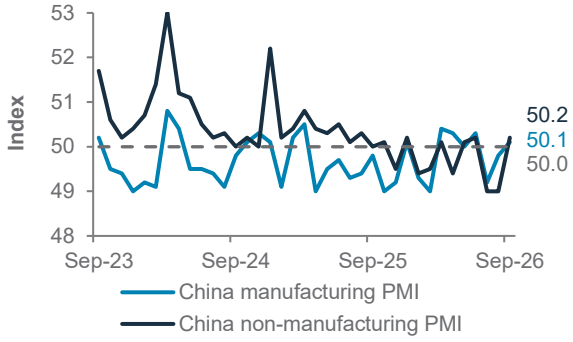
Euro area economic, services and industrial confidence



Source: Bloomberg, Standard Chartered

China's manufacturing and non-manufacturing sector business confidence both rose to expansion territory in September

China manufacturing and non-manufacturing PMIs



Source: Bloomberg, Standard Chartered

Top client questions

Do you expect more RBA rate hikes after its less hawkish guidance? What is your view on the AUD and AUD bonds?

Our view: We expect the RBA to leave rates unchanged, but retain the option to hike again should inflation intensify. We maintain our medium-term constructive AUD view and maintain our opportunistically bullish AUD corporate bonds idea.

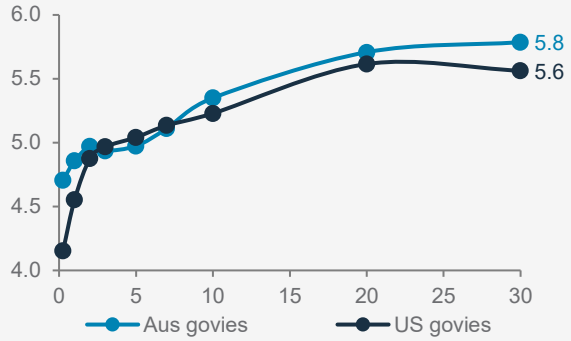
Rationale: The RBA's forward guidance remains data dependent, explicitly allowing further tightening if needed as inflation remains too high. At 4.60%, Australia's cash rate is currently 60–85bp above the Fed's 3.75–4.00% range. Thus, even with our two additional 25bps Fed hikes expectation, Australian rates would hold a modest positive rate differential. We expect the AUD to strengthen once the Fed signals that US rates are near their peak, which should allow resilient Australian fundamentals to reassert themselves. Key risks are persistently high US yields, weaker China growth or a sharper deterioration in global risk sentiment.

We believe risk-reward has become more attractive for AUD bonds following the bear-flattening of the AUD yield curve. Markets are already pricing in one more RBA hike through end-2027, presenting an attractive opportunity to earn a yield even as increasingly restrictive financial conditions reinforce disinflation over time. Meanwhile, the positive interest rate differential with the US supports the currency outlook, supporting the case for AUD bonds.

— **Vincent Tan,** *Senior Investment Strategist*
— **Cedric Lam,** *Senior Investment Strategist*
— **Iris Yuen,** *Investment Strategist*

We remain positive on AUD corporate bonds amid Australia-US interest rate differentials and positive outlook for the AUD

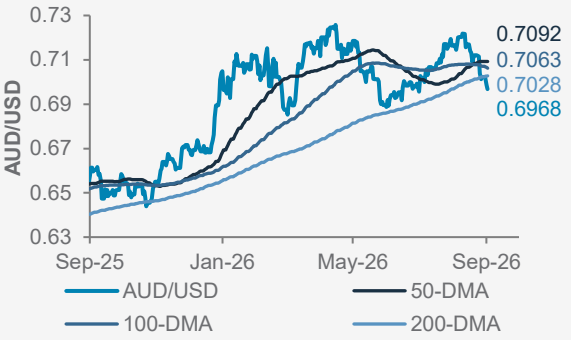
Australian and US government bond yield curves



Source: Bloomberg, Standard Chartered

Australia-US rate differentials expected to support AUD/USD recovery over medium term

AUD/USD and technicals



Source: Bloomberg, Standard Chartered

What does the incoming US data tell us about the path for US 10-year bond yields from here?

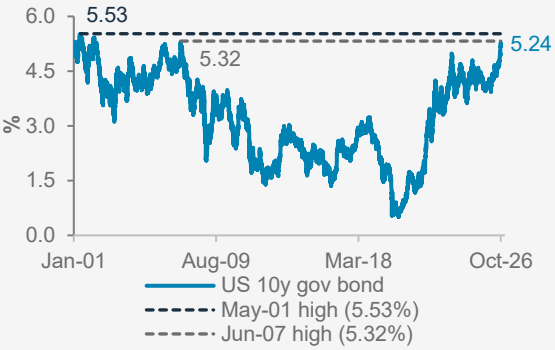
Our view: The risk-reward in US 10-year yields has turned attractive following their move higher amid incoming US data.

Rationale: Recent US data has indeed started to show softer-than-expected inflation. However, market technicals are likely temporarily delaying a move lower in bond yields, with reports suggesting the rise in yields is creating forced selling amongst hedge funds and real estate investment trusts. Nevertheless, we do not expect this to be an extended selloff. We have initiated an opportunistic bullish idea on US 10-year government bonds this week and continue to believe this idea offers an attractive risk/reward on a 6-12-month horizon as yields become attractive enough to entice buyer flow to return. On a broader allocation basis, we retain our structural preference for 3-7-year maturities in bonds.

— **Cedric Lam,** *Senior Investment Strategist*

The nominal US 10-year bond yield has surged to its highest closing high since 2007

US 10-year yields and historical highs



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

How should investors position in the GBP ahead of the UK budget announcement next month?

Our view: We maintain a medium-term constructive GBP view, but keep near-term exposure measured ahead of the 28 October Budget. We would view any pre-Budget weakness as an opportunity to gradually build GBP exposure.

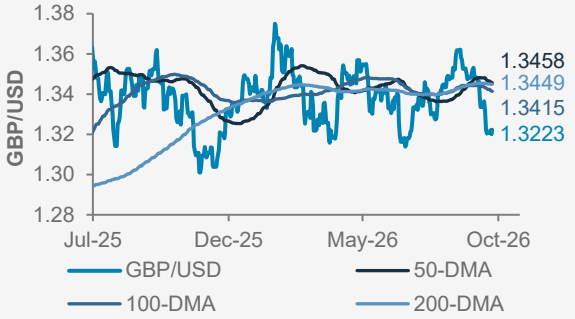
Rationale: The government's decision to adjust the pension triple lock from 2030 is an early indication of greater willingness to tackle longer-term spending pressures, reinforcing Chancellor Healey's commitment to fiscal discipline and meeting the fiscal rules. Markets are likely to scrutinise the Budget closely for evidence that this discipline extends to near-term tax and spending decisions. A credible Budget should help contain pressure on UK government bond yields and support GBP. Any fiscal slippage remains a key risk.

Near term, we prefer measured GBP exposure as elevated US yields and repricing towards further Fed tightening could continue to support the USD. Over the medium term, we expect GBP to rebound as the Fed eventually signals the peak of its tightening cycle.

— **Vincent Tan**, *Senior Investment Strategist*
— **Iris Yuen**, *Investment Strategist*

GBP/USD's pre-Budget weakness sets an opportunity to gradually build GBP exposure over the medium-term

GBP/USD and technicals



Source: Bloomberg, Standard Chartered

How would different US mid-term election outcome scenarios affect the outlook for US equities?

Our view: We believe election outcomes will have a limited impact over the next 12 months. We remain positive on US equities driven by fundamental earnings growth.

Rationale: Over the past 50 years, the ruling US President's party has retained control of both chambers of Congress on only two occasions (1978 and 2002). All other elections resulted in an opposition sweep or a divided government.

Based on the latest prediction markets, it appears that an opposition sweep (both the House and Senate flips from Republican to Democrats) is more likely than a divided government (in which the House flips to Democrats, while the Senate remains under Republican control). A scenario where Republicans retain a majority is least likely per prediction markets.

While mid-term elections may introduce near-term volatility, we caution against overreaction. Historically, the average return for the S&P 500 following an opposition sweep is 17% over the next 12 months, but the average return following a divided government is not significantly worse, at 15%. We prefer to base our investment views on fundamental earnings growth, where investor attention should focus on the upcoming Q3 earnings season.

— **Jason Wong,** *Senior Equity Analyst*

An opposition sweep in the US mid-term elections has historically led to a 17% average increase in the S&P 500 index over the next 12 months

S&P 500 returns over the next 12 months following US mid-term elections

Year	After midterm election	S&P 500 – 12m returns (%)
1978	Retained a majority	12.4
1982	Divided government	25.4
1986	Opposition sweep	4.3
1990	Opposition sweep	29.3
1994	Opposition sweep	30.4
1998	Opposition sweep	23.6
2002	Retained a majority	17.0
2006	Opposition sweep	8.7
2010	Divided government	5.8
2014	Opposition sweep	6.7
2018	Divided government	14.0
2022	Divided government	16.4
Total Average		**16.2**
Retained a majority		14.7
Divided government		**15.4**
Opposition sweep		**17.2**

Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

What is the outlook for the memory chip and broader semiconductors industry?

Our view: We remain positive on semiconductors and memory chips. Structural AI demand should prolong the memory upcycle while long-term agreements improve revenue visibility.

Rationale: Recent industry commentary points to tighter memory supply-demand conditions through 2028, reinforcing our view that AI demand is likely to extend the memory upcycle. Furthermore, adoption of long-term agreements improves revenue and earnings visibility.

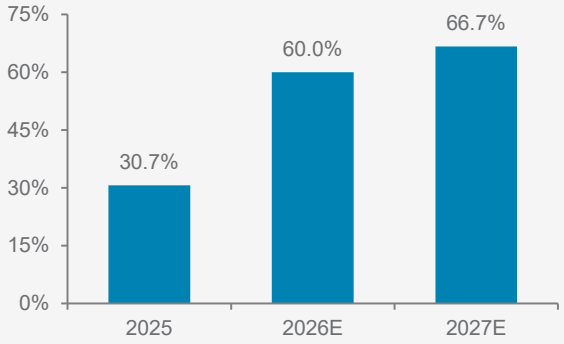
Despite debates around "Pacing the Frontier", we have seen a flurry of new model releases, along with the introduction of new consumer AI agents capable of comparing prices online and making purchases. These are early days, but the path is open for a business-to-agent (B2A) economy where businesses increasingly interact with AI assistants acting on customers' behalf. As these applications are increasingly inference intensive, wider adoption should support demand for memory, with its share of global semiconductor revenues projected to rise from 30.7% in 2025 to 66.7% in 2027.

Against this backdrop, we maintain our Opportunistic idea on Global Semiconductors. Given memory chips' cyclical nature, investors should avoid overconcentration in memory names and maintain a diversified exposure across Big Tech and semiconductors.

— **Ryan Goh**, *Investment Strategist*

The memory segment is projected to account for two-thirds of global semiconductor revenues by 2027

Memory as a % of global semiconductor revenues



Source: Company reports, Bloomberg Intelligence, Standard Chartered

Does a US bond yield stress test raise the risk to your constructive view on US equities?

Our view: We have a target for the S&P 500 index of 8400 over the next 12 months. A scenario of a sustained rise in the US 10-year government bond yield to 5.6% could lead to negative returns from the current S&P500 level (7,666).

Rationale: Our base case 12-month target for the S&P 500 is 8,400, which assumes 2027 S&P 500 EPS of USD 420 and a 20x forward P/E multiple. A rise in bond yields would have an impact on equity valuations, as a higher discount rate reduces the present value of future earnings. We stress-test our target under different 10-year yield and earnings scenarios.

A rise in bond yields would arguably be associated with a stronger growth environment and hence, even higher earnings. However, assuming unchanged EPS at our base case of USD 420, a (sustained) rise in the 10-year bond yield to 5.6% would lead to negative returns from the current level if not offset by a further improvement in earnings growth. However, in our base case we expect the 10-year yield is more likely to fall from here.

— **Fook Hien Yap**, *Senior Investment Strategist*

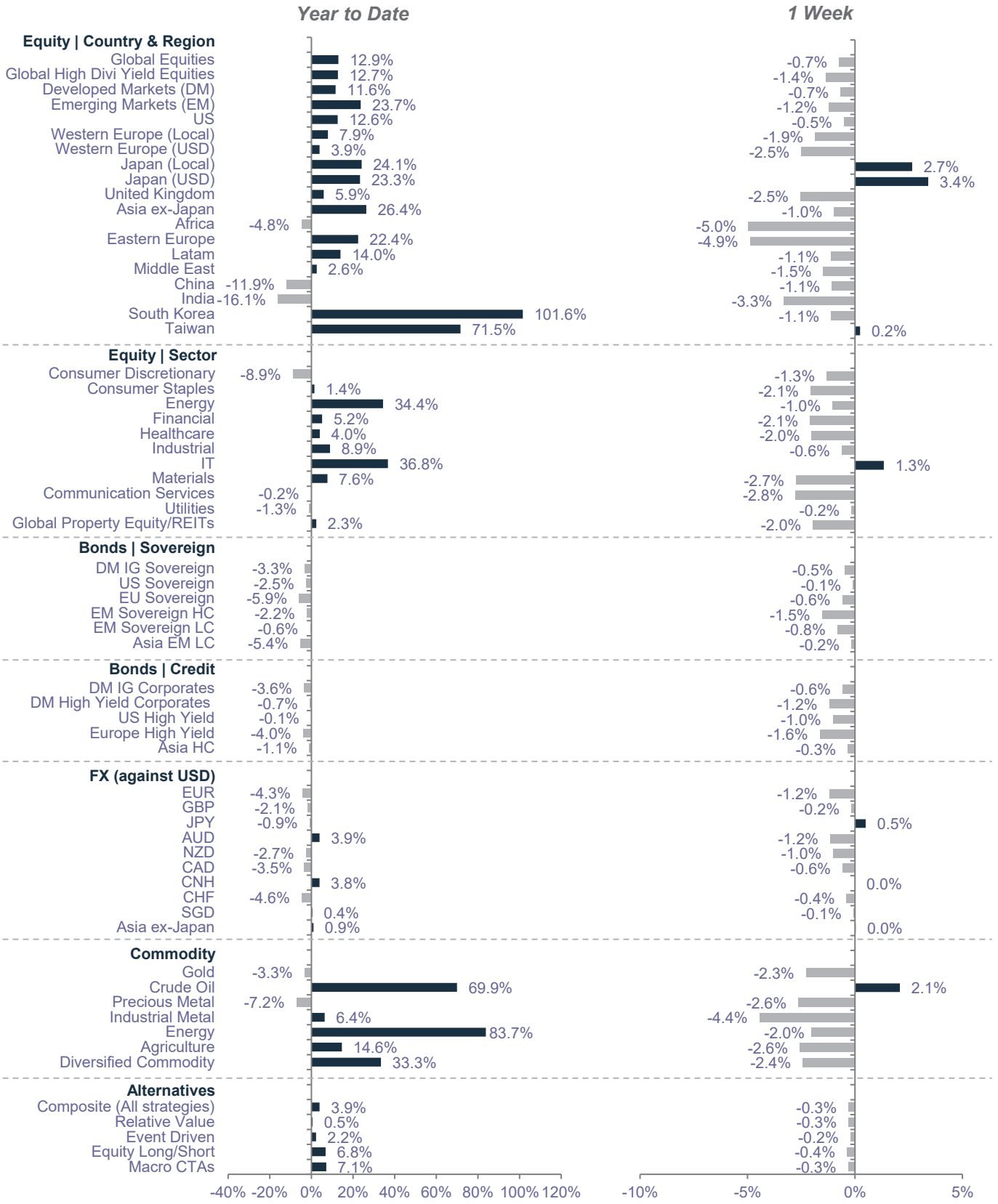
A sustained rise in the US 10-year bond yield to 5.6%, with no change to the earnings view, would raise downside risk to our S&P 500 target

Sensitivity analysis of our 12-month S&P 500 index target

10-year rates	2027E EPS				
	400	410	420	430	440
6.6%	6,080	6,232	6,384	6,536	6,688
6.4%	6,320	6,478	6,636	6,794	6,952
6.2%	6,560	6,724	6,888	7,052	7,216
6.0%	6,800	6,970	7,140	7,310	7,480
5.8%	7,040	7,216	7,392	7,568	7,744
5.6%	7,280	7,462	7,644	7,826	8,008
5.4%	7,520	7,708	7,896	8,084	8,272
5.2%	7,760	7,954	8,148	8,342	8,536
5.0%	8,000	8,200	8,400	8,600	8,800
4.8%	8,240	8,446	8,652	8,858	9,064

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 1 October 2026; 1-week period: 24 September 2026 to 1 October 2026

Our 12-month asset class views at a glance

Asset class		Preferred Sectors	
Equities	▲		
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Financials	▲
Asia ex-Japan	▲	US Materials	▲
Japan	◆	Europe ex-UK Financials	▲
Other EM	◆	Europe ex-UK Industrials	▲
		Japan Financials	▲
Bonds	◆	China Technology	▲
Credit		China Financials	▲
Asia USD	◆	China Communication	▲
Corp DM HY	◆	China Materials	▲
Govt EM USD	▲	China Healthcare	▲
Corp DM IG	◆		
Govt		**Alternatives**	◆
Govt EM Local	◆		
Govt DM IG	▼	**Gold**	▲

Source: Standard Chartered Global Investment Committee

Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Oct	–	5.1
	EUR	PPI y/y	Aug	–	5.8%
	USD	ISM Services Index	Sep	55.2	55.4
TUE	EUR	Retail Sales y/y	Aug	–	0.6%
	USD	Trade Balance	Aug	-$83.8b	-$88.6b
WED	JPY	Labor Cash Earnings y/y	Aug	–	4.7%
	JPY	Real Cash Earnings y/y	Aug	–	2.4%
	INR	RBI Repurchase Rate	7-Oct	5.5%	5.3%
	CNH	Foreign Reserves	Sep	–	$3438.3b
THU	USD	FOMC Meeting Minutes	16-Sep	–	–
	USD	Initial Jobless Claims	3-Oct	–	–
	USD	Continuing Claims	26-Sep	–	–
FRI/SAT	USD	U. of Mich. Sentiment	Oct P	48.0	48.1
	USD	U. of Mich. 1yr Inflation	Oct P	–	4.6%

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,797

Technical indicators for key markets as of 1 Oct close

Index	Spot	1st support	1st resistance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,666	7,522	7,797	18.9	1.2
STOXX 50	6,175	6,088	6,344	14.5	3.3
FTSE 100	10,428	10,257	10,734	12.0	3.7
TOPIX	4,132	4,000	4,230	16.2	2.3
Shanghai Comp	3,842	3,768	3,956	12.6	3.1
Hang Seng	24,613	23,995	25,511	10.2	3.5
Nifty 50	22,422	21,712	23,638	16.9	1.9
MSCI Asia ex-Japan	1,137	1,104	1,172	9.9	2.5
MSCI EM	1,709	1,667	1,761	9.7	2.9
Crude oil (WTI)	92.9	83.8	104.4	na	na
Gold	4,178	4,022	4,422	na	na
UST 10Y Yield	5.24	4.87	5.48	na	na

Source: Bloomberg, Standard Chartered

Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 1 Oct close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.40
Global Equities	●	↑	1.80
Gold	●	↓	1.95
Equity			
MSCI US	●	→	1.65
MSCI Europe	◐	→	1.40
MSCI AC AXJ	●	↓	1.85
Fixed Income			
DM Corp Bond	◐	↓	1.41
DM High Yield	◐	→	1.44
EM USD	◐	↓	1.36
EM Local	●	↑	1.90
Asia USD	◐	↓	1.47
Currencies			
EUR/USD	◐	↓	1.43

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**

Legend: ● High | ◐ Low to mid | ○ Critically low

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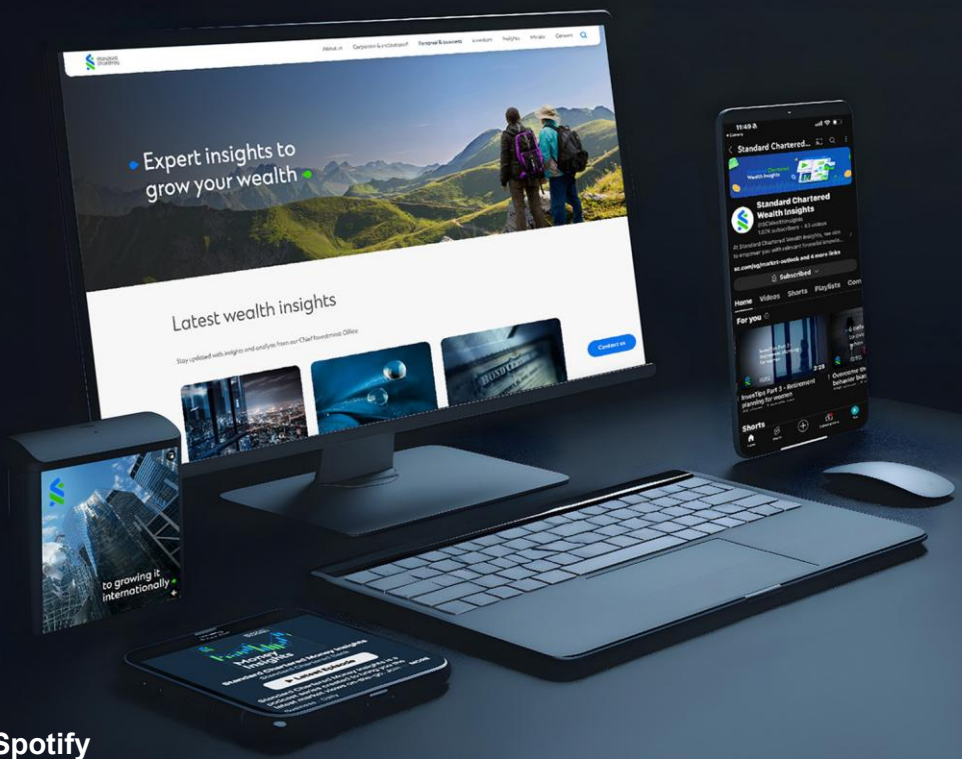
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